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PUBLIC VERSION

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RE: EAPA CASE 7969 – Notice of Determination as to Evasion

To the Counsel and Representatives of the above-referenced entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Investigation 7969, U.S. Customs and Border Protection (CBP) has determined that there is substantial evidence that Thompson Aluminum Casting Company, Inc. (“Thompson” or “the Importer”) entered merchandise covered by antidumping duty (AD) order A-570-896 on magnesium (Mg) metal¹ (covered merchandise) from the People’s Republic of China (China) into the customs territory of the United States through evasion. Thompson declared the Chinese-origin Mg as country-of-origin Turkey, not subject to the *Order* on entry and, as a result, no cash deposits were collected on the merchandise.

I. Background

Trinity Metals LLC (“Trinity” or “the Allegor”) filed EAPA allegation 7969 against Thompson on March 6, 2024.² The Allegation alleged that Thompson was importing Chinese Mg transshipped through Turkey while falsely declaring the Mg as Turkish-origin to evade AD

¹ See *Notice of Antidumping Duty Order: Magnesium Metal from the People’s Republic of China*, 70 Fed. Reg. 19928, (U.S. Department of Commerce, April 15, 2005) (the *Order*).

² See Trinity’s Letter, “EAPA Duty Evasion Allegation Concerning Alloy Magnesium Metal Imported by Thompson Aluminum Casting Company from Turkey,” dated March 6, 2024 (Allegation). See also Trinity’s letter, “Supplement to EAPA Duty Evasion Allegation Concerning Alloy Magnesium Metal Imported by Thompson Aluminum Casting Company from Turkey,” dated March 26, 2024 (Allegation Supplement).

duties. CBP acknowledged receipt of the properly filed allegation on April 17, 2024³ and initiated the investigation May 8, 2024 pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as “EAPA.”⁴

Description of the Allegation

In the Allegation, Trinity stated that it is a U.S. producer of secondary Mg through a recycling process and therefore, a U.S. producer of domestic like product that qualifies as an interested party eligible to file an EAPA allegation.⁵ Trinity also stated that it qualifies as U.S. wholesaler of domestic like product.⁶ To support this contention, Trinity provided an affidavit stating “{c}urrently, Trinity Metals is [DESCRIPTION OF PRODUCTION PROCESS AND LOCATION WHERE PRODUCTION PROCESS TAKES PLACE

].”⁷ Thus, the Allegor provided evidence that it meets the definition of wholesaler in the United States of domestic like product, which is one type of interested party that is permitted to file an EAPA allegation.⁸

Trinity claimed in the Allegation that Thompson imported Chinese-origin Mg ingots of the AZ91E alloy transshipped through Turkey by Tigemer Danismanlik Ve Dis Ticaret Ltd. (Tigemer).⁹ Merchandise subject to the scope of the Order includes:

magnesium cast into ingots, slabs, rounds, billets, and other shapes, magnesium ground, chipped, crushed, or machined into raspings, granules, turnings, chips, powder, briquettes, and other shapes: *Products that contain 50 percent or greater, but less than 99.8 percent, magnesium, by weight, and that have been entered into the United States as conforming to an "ASTM Specification for Magnesium Alloy"* and thus are outside the scope of the existing antidumping orders on magnesium from the PRC (generally referred to as "alloy" magnesium) {emphasis added}.¹⁰

The Allegation showed that AZ91E is an alloy with a chemistry conforming to an ASTM standard specification¹¹ with a Mg content of 89.35 to 91.33 percent,¹² and is thereby merchandise subject to the *Order*, if made in China.

³ See CBP’s Email, “EAPA 7969 - Receipt of Properly Filed Allegation – PD,” dated April 17, 2024.

⁴ See CBP Memorandum, “Initiation of Investigation for EAPA Case Number 7969,” dated May 8, 2024. *See also* CBP’s Letter, “RE: EAPA CASE 7969 – Notice of Initiation of Investigation and Interim Measures,” dated August 13, 2024 (NOI) at 2-3.

⁵ See Allegation at 1-2 and Allegation Supplement at Exhibit C, Attachment B, and Attachment C. *See also* 19 C.F.R. § 165.1(2).

⁶ See Allegation at 2.

⁷ See Allegation Supplement at Confidential Exhibit C.

⁸ See 19 C.F.R. § 165.1 for the regulatory definition of an interested party.

⁹ See Allegation at 2-3 and 5-6.

¹⁰ See the *Order*, provided in the Allegation as Exhibit 1.

¹¹ See the Allegation at Exhibits 5 and 8.

¹² *Id.* at Exhibit 5.

The Allegation also provided U.S. import statistics showing U.S. imports of Mg from Turkey, to demonstrate that Mg declared as Turkish-origin was entered into the U.S. Customs territory.¹³ Trinity also provided copies of bills of lading (BOL) that identified Thompson as the consignee for shipments of Turkish AZ91E Mg, to demonstrate that Thompson was likely the importer. These BOLs also identified Tigemer as the shipper,¹⁴ which supported the contention that Thompson received these shipments from Tigemer.

The Allegation also claimed that that no known Turkish producer was currently manufacturing the specific Mg alloy AZ91E.¹⁵ Trinity supported this contention by providing a copy of a report on primary magnesium production around the world showing that only one smelter, Kar Mineral Madencilik (Esan) produces primary magnesium in Turkey.¹⁶ The Allegation also provided correspondence between [NAME AND POSITION] of Trinity and [NAME] an employee of [COMPANY NAME]. According to [NAME], [PERSON'S NAME AND POSITION AT COMPANY] told him that [DESCRIPTION OF PRODUCTION AT ESAN].¹⁷

Trinity provided screenshots of Tigemer's website showing that Tigemer is likely a distributor of imported Mg ingots rather than a manufacturer. Specifically, the screenshots provided in the Allegation stated that "we {Tigemer} offer ready-made stock products to our customers *by importing* {emphasis added} high purity Magnesium Ingot {sic.} {...} We provide our *imported* {emphasis added} products to our customers with quality assurance {...}."¹⁸

The Allegation also provided evidence that if not Turkish-origin, any Mg Thompson imported from Turkey is most likely Chinese-origin. This evidence consists of Turkish import statistics showing over 200 thousand Kg of Turkish Mg imports from China in 2023¹⁹ and over 1.5 million Kg of Chinese Mg exports to Turkey in 2023.²⁰ The Allegation also provided information from the U.S. Geological Survey (USGS) showing that China accounts for over 90 percent of global, non-U.S. Mg production.²¹

¹³ *Id.* at Exhibit 13.

¹⁴ *Id.* at Exhibit 4.

¹⁵ *Id.* at 3 and Confidential Exhibit C.

¹⁶ See Allegation Supplement at Attachment D.

¹⁷ See Allegation at Confidential Exhibit B and Allegation Supplement at Confidential Exhibit C.

¹⁸ See Allegation at Exhibit 3.

¹⁹ See Allegation at Exhibit 12.

²⁰ *Id.* at Exhibit 11.

²¹ See Allegation Supplement at Attachment G.

II. Research Conducted by CBP Prior to the Notice of Initiation of Investigation

CBP Data

In order to evaluate the Allegation, CBP checked CBP data sources and confirmed that Thompson declared entries as Turkish-origin and type 01, not subject to AD duties from June 2022 to December 2023.²²

CF-28s

On May 15, 2024, CBP also sent a CBP Form 28 request for information (CF-28) to the Importer regarding entry numbers [#]6414 (6414), [#]6638 (6638), [#]1195 (1195), [#]2954 (2954), and [#]5030 (5030). The CF-28s requested, inter alia:

- a copy of the contract or purchase order (PO),
- photographs of the factory where the entered goods were produced,
- employee timecards for all workers involved in the production of these goods,
- invoices or other documents for the manufacturer's raw materials purchases, and
- the name and address of the seller, if different from the manufacturer.²³

On July 1, 2024, Thompson provided the requested information for entries 5030, 1195, and 6414, but did not provide responses for entries 2954 or 6638.²⁴ The Importer provided invoices from Turkish suppliers [COMPANY NAME] (Supplier T) to [COMPANY NAME] (Supplier A). According to these invoices, Supplier T supplied a total of [#] Kg of Mg scrap to Supplier A, which was [#] Kg less than the [#] Kg of Mg ingots Supplier A sold Tigemer, for resale to the Importer.²⁵ Since the Allegation showed that AZ91E is an alloy of over 85 percent magnesium, introduction of alloying elements could not explain a shortage this large.²⁶

In response to CBP's request for photographs of the exterior of the factory where the Mg ingots were made, Thompson provided photographs showing the exterior of a building with Supplier T's name on it.²⁷ This indicated that Supplier T produced the Mg ingot. However, the invoices described above indicated that Supplier T was a scrap supplier to Supplier A.²⁸

²² See "EAPA Post Receipt Report (7969)," dated May 2, 2024 (EAPA Receipt Report).

²³ See CF-28 for entry number -6414, dated May 15, 2024. The response was due 30 days after CBP sent the form, June 14, 2024. Thompson did not respond but requested an extension to the deadline. See Thompson's email to CBP, "Form Needed," dated June 17, 2024. After CBP extended the deadline until June 25, 2024, Thompson did not submit a CF-28 response by June 25, 2024. See CBP's email "RE: Form Needed" dated June 18, 2024 and CBP's email, "RE: U S Customs Request for information Entry Numbers [#] 6414, [#] 6638, [#] 1195, [#] 5030 and [#] 2954," dated June 28, 2024. See also NOI at 4-5.

²⁴ See CBP's email, "FW: 3 of the entry numbers you asked for detailed information," dated July 3, 2024.

²⁵ See Thompson's CF-28 Responses for entries 5030, 1195, and 6414.

²⁶ See Allegation at Exhibit 5 and NOI at 6.

²⁷ *Id.* at factory photographs.

²⁸ *Id.* at factory photographs.

On July 8, 2024, Thompson provided some of the documents CBP requested for entry numbers - 6638 and -2954.²⁹ These documents included POs and invoices, but the quantities did not match.³⁰ For example, Thompson provided a PO for [#] pounds ([#]) Kg of AZ91E from [COMPANY NAME] (Supplier N), but this quantity did not match the quantity on the corresponding invoice from Supplier N. Thompson also stated that Supplier N purchased the Mg ingot in some entries from [COMPANY NAME] (Supplier 1), but provided no documents (*e.g.* POs, invoices, *etc.*) to support this claim.³¹

III. Interim Measures

Based on record information available at that time, CBP issued its Notice of Initiation of Investigation and Interim Measures (NOI) on August 13, 2024.³² TRLED determined that, based on the evidence described above, there was reasonable suspicion that the Importer evaded the *Order* by importing Chinese Mg transshipped through Turkey to evade applicable duties.³³

IV. Requests for Information

Pursuant to 19 C.F.R. § 165.5, CBP sent requests for information (RFI)s to the Importer, Supplier A, Supplier N, and Supplier 1. RFIs are distinct from CF-28 requests for information in that RFIs request more information than CF-28s and are issued after interim measures.

Thompson RFFIs

Initial RFI

On August 20, 2024, CBP sent Thompson an RFI with a September 3, 2024 response deadline.³⁴ Thompson requested two extension of time³⁵ and CBP extended the deadline twice, first until

²⁹ See CBP's email, "More Translations," dated July 15, 2024.

³⁰ See Thompson's CF-28 Responses for entries 6638 and 2954.

³¹ See Thompson's email, "FW: Custom agen {sic} Wants These documents Translated," dated July 25, 2024, and Thompson's email, "the other 2 entries you are looking for," dated July 8, 2024 (CF-28 responses for entries -6683 and -2954).

³² See NOI.

³³ *Id.* at 1.

³⁴ See CBP's letter to Thompson "RE: EAPA 7969 Request for Information," dated August 20, 2024 (Thompson RFI). See also CBP's email to Thompson "EAPA 7696 - Thompson Request for Information," dated August 20, 2024.

³⁵ See Thompson's letter "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Request for Extension of Time for Response to Request for Information," dated August 27, 2024. See also Thompson's letter "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Request for Extension of Time for Response to Request for Information," dated September 9, 2024.

September 10, 2024, and then until September 12, 2024.³⁶ On September 12, 2024, Thompson submitted its RFI response, but CBP rejected Thompson's submission and established a deadline of September 30, 2024 for Thompson to resubmit.³⁷ On September 30, 2024, Thompson resubmitted its response, but CBP rejected Thompson's resubmission and set a deadline of October 4, 2024 for the Importer to resubmit.³⁸ On October 4, 2024, the Importer resubmitted its response.³⁹

In its response Thompson claimed that it has never purchased Mg from China, and it first began importing Mg from Turkey in [MONTH], with its last importation in [MONTH].⁴⁰

Thompson also stated that:

Any producer of magnesium that makes AZ91C and D can easily make AZ91E. Not all of our customers require castings that need AZ91E magnesium. Most of our customers require AZ91C or D. We have just a few customers that require us to use AZ91E. However, because AZ91E has strict tolerances, and the price differential between AZ91 C, D, and E is very small, TAC can oftentimes use AZ91E for its customers.⁴¹

The Importer also told CBP that it asks all potential new suppliers whether they source their products from China, and if the potential suppliers report that China is their source, Thompson would not source magnesium from the supplier. Thompson reported obtaining a [#] MT sample from Tigemer on August 4, 2022, and a [#] MT sample from [COMPANY NAME] (Supplier N) on March 27, 2023.⁴²

Thompson also claimed that it is easy to "convert" AZ91D into AZ91E.⁴³ The Importer stated:

Conversely, if there is a very good price for AZ91D alloy magnesium (perhaps ingot already on hand at a broker or wholesaler), TAC may desire to purchase the AZ91D alloy magnesium

³⁶ See CBP Memorandum "EAPA Consolidated Case No. 7969 – Response to Thompson Aluminum Casting Co. Inc.'s August 27, 2024 Request for Extension to Submit RFI Response," dated August 27, 2024. See also CBP Memorandum "EAPA Consolidated Case No. 7969 – Response to Thompson Aluminum Casting Co. Inc.'s September 9, 2024 Request for Extension to Submit RFI Response," dated September 12, 2024.

³⁷ See CBP's email, "RE: EAPA 7969 - Rejection of Thompson's RFI Response," dated September 23, 2024. CBP rejected the Importer's response because Thompson did not provide public summaries of some information enclosed in square brackets in the public version, the public and business confidential (BC) versions did not have the same attachment headings, and Thompson did not request BC treatment for its bank account number as required by Court of International Trade's Rule 5.2 Privacy Protection for Filing Made with the Court.

³⁸ See CBP's email, "EAPA 7969 - REJECTING Thompson's Resubmission of its RFI Response – PD" dated October 1, 2024. CBP rejected Thompson's resubmitted RFI response because it lacked adequate public summaries.

³⁹ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s RFI Response," dated September 12, 2024 (Thompson RFI Response).

⁴⁰ *Id.* at 5.

⁴¹ *Id.* at 21.

⁴² *Id.* at 24-25.

⁴³ *Id.* at 24.

and modify the alloy *themselves* at their foundry into AZ91E by diluting the few elements contained in the “recipe” for the AZ91D alloy (as has been done on a number of occasions).⁴⁴

The Importer provided five “certificates of verification” dated from June 6 to June 10, 2023 from Supplier A for five shipments of Mg alloy with compositions that had Mg content between [#] percent and [#] percent Mg. These certificates did not state the quantity of ingots in each batch or have any melt or heat number to connect them to a specific production batch from an individual furnace.⁴⁵

Thompson provided CBP form 7501 entry summaries (7501), packing lists (PL), POs, BOLs, invoices, sales correspondence, and bank transfer payment slips for its purchases of Mg.⁴⁶ These documents indicate that Thompson purchased the entry numbers ending in 2954 and 2039 from Supplier N, while the Mg ingots in these entries were produced by Supplier 1. Thompson reported that it also purchased the Mg in entry 6638 from Supplier N, who purchased it from the producer [COMPANY NAME] (Supplier 2). According to the Importer, Supplier A manufactured the Mg in entries 6414, 1195, 5030, [#]7370 (7370), [#]4190 (4190), but Tigemer acted as a middleman by buying the Mg from Supplier A and reselling to Thompson.⁴⁷

The 7501s Thompson provided also showed that Thompson declared the merchandise in entries 2954 and [#]2039 (2039) as [PRODUCT] under harmonized tariff schedule of the United States (HTSUS) number [HTSUS NUMBER AND CORRESPONDING DESCRIPTION OF THE PRODUCT DECLARED ON THOMPSON’S 7501]. However, according to sales correspondence, invoices from Supplier N, and POs accompanying these entries, the merchandise was [PRODUCT], which should be entered as HTSUS [CORRECT HTSUS NUMBER AND CORRESPONDING DESCRIPTION OF CORRECT PRODUCT HTSUS CLASSIFICATION]. Therefore, Thompson misclassified the merchandise upon entry.⁴⁸

Based on the information from Thompson’s RFI response and CF-28 responses, CBP learned that Thompson imported Mg ingots from Turkey through two supply chains: one involving Supplier A, Supplier T, and Tigemer (the ATT Suppliers) and one involving Supplier N and Supplier 1.

Thompson Supplemental RFI

On October 10, 2024, CBP sent Thompson a supplemental request for information (SRFI) with a response deadline of October 18, 2024.⁴⁹ CBP requested, *inter alia*, bills of materials (BOM) for

⁴⁴ *Id.* at 24.

⁴⁵ *Id.* at Attachment 11, pages 469-463.

⁴⁶ *Id.* at Attachment 11.

⁴⁷ *Id.* at Attachment 10.

⁴⁸ *Id.* at Exhibit 11, especially pages 629-641 and 714-750. *See also* HTSUS Chapter 81.

⁴⁹ *See* CBP’s letter, “RE: EAPA 7913 – Supplemental Request for Information,” dated October 10, 2024 (Thompson SRFI). *See also* CBP’s email, “EAPA 7969 - Supplemental RFI for Thompson - BUSINESS CONFIDENTIAL in the ATTACHMENT,” dated October 10, 2024.

all products Thompson produces using AZ91E Mg.⁵⁰ On October 16, 2024, Thompson requested permission to provide more limited and specific information than what was requested in the SRFI.⁵¹ Thompson stated that it could not provide all BOMs for products using AZ91E Mg because as a defense contractor, many of its products are covered by the International Traffic in Arms (ITAR) regulations, which prohibit disclosure of such information. Thompson also explained that disclosure of the full BOMs would violate non-disclosure agreements (NDA) with its customers.⁵² In a separate letter dated October 16, 2024, Thompson requested an extension.⁵³ CBP extended the deadline for Thompson to submit its SRFI response until October 23, 2024. CBP also stated that it would require only three sample BOMs for products not covered by NDAs or ITAR.⁵⁴ On October 23, 2024, Thompson submitted its SRFI response.⁵⁵ The BOMs Thompson provided listed [DESCRIPTION] as an input for three different products, which indicated that Thompson does not require [DESCRIPTION] specifically, rather than [DESCRIPTION OF PRODUCTS] to produce many of its products.⁵⁶

RFIs to the Supplier N Supply Chain Network

On August 20, 2024, CBP sent RFIs to Supplier N⁵⁷ and Supplier 1⁵⁸ with response deadlines of August 27, 2024. CBP asked both suppliers, *inter alia*, for the name and address of the producer of the ingots sold to Thompson, a Mg ingot production process flow chart, a list of production equipment used, 2023 Mg ingot production quantity, and annual Mg ingot production capacity.⁵⁹

⁵⁰ See Thompson SRFI.

⁵¹ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Request for Clarification Regarding Supplemental RFI," October 16, 2024.

⁵² *Id.* at 2.

⁵³ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Request for Extension of Time for Response to Supplemental Request for Information," dated October 16, 2024.

⁵⁴ See CBP Memorandum, "EAPA Case No. 7969 – Response to Thompson Aluminum Casting Company, Inc.'s October 16, 2024 Request for Extension to Submit its Response to Supplemental Request for Information," dated October 17, 2024.

⁵⁵ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Business Confidential Version Supplemental RFI Response Submission," dated October 23, 2024 (Thompson SRFI Response).

⁵⁶ *Id.* at Exhibit S-03.

⁵⁷ See CBP's Letter to Supplier N, "RE: EAPA 7969 - Request for Information," dated August 20, 2024 (Supplier N RFI). See also CBP's email, "EAPA 7969 - Request for Information from Supplier N - BUSINESS CONFIDENTIAL," dated August 20, 2024.

⁵⁸ See CBP's letter to Supplier 1, "RE: EAPA 7969 - Request for Information," dated August 20, 2024 (Supplier 1 RFI). See also CBP's email, "EAPA 7969 - Supplier 1 Request for Information," dated August 20, 2024.

⁵⁹ See Tigemer RFI, Supplier A RFI, Supplier N RFI, and Supplier 1 RFI at 9.

Supplier N RFI

On August 26, 2024, Supplier N requested an extension of time to submit its response,⁶⁰ and CBP extended Supplier N's response deadline until September 3, 2024.⁶¹ On September 3, 2024, Supplier N submitted its RFI response.⁶² Supplier N stated that it does not produce Mg ingots. Supplier N also stated that it purchased all the Mg ingots it sold Thompson from Supplier 1.⁶³ This was a discrepancy with Thompson's claim in its RFI response that that Supplier 2 produced one entry of covered merchandise sold by Supplier N.⁶⁴

Supplier 1 RFI

Supplier 1 requested an extension of time to submit its RFI response,⁶⁵ and CBP extended the deadline until September 3, 2024.⁶⁶ On September 3, 2024, Supplier 1 submitted its response.⁶⁷ Supplier 1 stated that it manufactured some of the Mg ingots Supplier N sold to Thompson but purchased one shipment from Supplier 2. Supplier 1 also stated that it has [#] Kg of annual Mg ingot production capacity, and can produce [LIST OF Mg ALLOY PRODUCTS] Mg alloys and [Mg type] through a [PRODUCTION PROCESS] using scrap. Supplier 1 stated that it produced [#] Kg of Mg in 2023.⁶⁸

Additional RFIs to Supplier N Supply Chain

On October 4, 2024, CBP sent SRFIs Supplier N⁶⁹ and Supplier 1,⁷⁰ and an initial RFI to Supplier 2⁷¹ with a deadline for each supplier to respond by October 18, 2024. CBP asked the suppliers to provide *Inter alia*, financial statements, and invoices sent to customers of covered

⁶⁰ See Supplier N's email, "Re: EAPA 7969 - Request for Information from Supplier N - BUSINESS CONFIDENTIAL," dated August 26, 2024.

⁶¹ See CBP's Email, "RE: EAPA 7969 - Request for Information from Supplier N - BUSINESS CONFIDENTIAL," dated August 26, 2024.

⁶² See Supplier N's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: [COMPANY NAME'S] Response to Request for Information," dated September 3, 2024 (Supplier N RFI Response).

⁶³ *Id.* at 4-5.

⁶⁴ See Thompson RFI Response at Attachment 10.

⁶⁵ See Supplier 1's email, "[NAME]: EAPA 7969 - Supplier 1 Request for Information," dated August 26, 2024.

⁶⁶ See CBP's email, "RE: [NAME]: EAPA 7969 - Supplier 1 Request for Information, dated August 26, 2024.

⁶⁷ See Supplier 1's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: [COMPANY NAME'S] Response to Request for Information," dated September 3, 2024 (Supplier 1 RFI Response).

⁶⁸ *Id.* at 1-2.

⁶⁹ See CBP's letter to Supplier N, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Supplier N SRFI). See also CBP's email to Supplier N, "Supplier N Supplemental Request for Information - BC including in the ATTACHMENT," dated October 4, 2024.

⁷⁰ See CBP's letter to Supplier 1, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Supplier 1 SRFI). See also CBP's email to Supplier 1, "RE: EAPA 7969 - Supplier 1 Supplemental Request for Information - BUSINESS CONFIDENTIAL including the ATTACHMENT," dated October 4, 2024.

⁷¹ See CBP's letter to Supplier 2, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Supplier 2 RFI). See also CBP's email, "EAPA 7969 Request for Information - BC," dated October 4, 2024 and CBP's email, "RE: EAPA 7969 Request for Information - BC," dated October 10, 2024.

merchandise.⁷² CBP also asked Supplier 1 and Supplier 2 (the purported producers of the covered merchandise) for additional information and documents pertaining to Mg ingot production.⁷³

Supplier N SRFI Response

Supplier N requested an extension of time to submit its SRFI response,⁷⁴ and CBP extended the deadline until October 29, 2024.⁷⁵ However, CBP rejected Supplier N's October 29, 2024 submission because the public version lacked adequate summaries. CBP also established a deadline of November 12, 2024 for Supplier N to resubmit.⁷⁶ Although Supplier N resubmitted its response on November 7, 2024, CBP rejected this submission because Supplier N did not provide adequate public summaries and established a resubmission deadline of November 26, 2024.⁷⁷ On November 23, 2024, Supplier N resubmitted its SRFI response.⁷⁸

In its resubmitted SRFI response, Supplier N stated that it purchased [# OF SHIPMENTS] of Mg from Supplier 2 and [# OF SHIPMENTS] from Supplier 1.⁷⁹ Supplier N also explained that its suppliers shipped the magnesium directly to Thompson, and it never took physical possession of the Mg.⁸⁰

Supplier 1 SRFI Response

CBP extended the deadline for Supplier 1 to submit its SRFI Response until October 29, 2024,⁸¹ then further extended the deadline until November 4, 2024.⁸² Supplier 1 submitted its response on November 4, 2024, but CBP rejected Supplier 1's response and set a deadline of

⁷² See Supplier 1 SRFI, Supplier N SRFI, and Supplier 2 RFI.

⁷³ See Supplier 1 SRFI and Supplier 2 RFI.

⁷⁴ See Supplier N's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal Through Turkey; EAPA Case Number 7969: [COMPANY NAME]'s Extension Request for Supplemental Request For Information," dated October 15, 2024 (Supplier N SRFI Response).

⁷⁵ See CBP's email, "Extending the deadline for Supplier N SRFI response - BUSINESS CONFIDENTIAL," dated October 15, 2024.

⁷⁶ See CBP's email, "REJECTION OF Supplier N SRFI RESPONSE," dated November 1, 2024.

⁷⁷ See CBP's email, "2nd rejection of Supplier N SRFI Response – BC," dated November 18, 2024.

⁷⁸ See Supplier N's letter to CBP, "Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Response to Supplemental Request for Information," dated November 23, 2024 (Supplier N SRFI Response).

⁷⁹ *Id.* at 6.

⁸⁰ *Id.* at 27.

⁸¹ See CBP's email, "RE: EAPA 7969 - Supplier 1 Supplemental Request for Information - BUSINESS CONFIDENTIAL including the ATTACHMENT," dated October 15, 2024.

⁸² See CBP Memorandum, "EAPA Case No. 7969 – Response to Supplier 1's October 28, 2024 Request for Extension to Submit RFI Response," dated October 28, 2024.

November 12, 2024 for Supplier 1 to resubmit.⁸³ On November 12, 2024, Supplier 1 Resubmitted its SRFI response.⁸⁴

Supplier 1 stated that it had no direct U.S. customers,⁸⁵ but produced Mg it sold to Supplier N.⁸⁶ Supplier 1 also stated that its annual Mg production capacity is [#] Kg, and that it operates [#] melting furnaces that melt [#s] Kg of Mg scrap per production batch.⁸⁷ Supplier 1 reported that [#] Kg of scrap are needed to make [#] Kg of Mg ingots.⁸⁸ Supplier 1 also stated that it operates its own Mg scrap recycling facility.⁸⁹ Supplier 1 provided a chart of Mg ingot production for each month of the POI⁹⁰ and monthly production logs which show the same monthly production quantities as the chart.⁹¹

Supplier 1 also provided warehouse receipt records, which it called “weighbridge slips” tracking its receipt of the raw materials used in making ingots for Supplier N,⁹² invoices for its purchase of the raw materials, and invoices for its sale of the finished ingots to Supplier N.⁹³ Supplier 1 also furnished production records for the individual production batches it sold to Supplier N. These records included the date and time of production, the furnace number, the quantities of raw materials consumed, the name of the employee who produced each batch, the quantity produced and identified Supplier N as the customer for whom these batches were produced.⁹⁴

[COMPANY NAME] (Supplier 2) First RFI

Supplier 2 submitted its response October 25, 2024, but CBP rejected this submission establishing a November 4, 2024 deadline for resubmission.⁹⁵ On November 4, 2024, Supplier 2 resubmitted its Response, but CBP rejected Supplier 2’s resubmission because Supplier 2 did not

⁸³ See CBP’s email, “Rejection of Supplier 1 SRFI Response -BC,” dated November 5, 2024. CBP rejected Supplier 1’s November 4, 2024 RFI submission because it did not contain the certifications required under 19 C.F.R. §165.5(b)(2).

⁸⁴ See Supplier 1’s letter, “Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: [COMPANY’s] Response to Supplemental Request for Information,” dated November 12, 2024 (Supplier 1 SRFI Response).

⁸⁵ *Id.* at 17.

⁸⁶ *Id.* at 21.

⁸⁷ *Id.* at 21-22.

⁸⁸ *Id.* at 27.

⁸⁹ *Id.* at 14 and 23-24.

⁹⁰ *Id.* at 22.

⁹¹ *Id.* at Exhibit IV.13.3.

⁹² *Id.* at 26 and Exhibit V.14.

⁹³ *Id.* at Exhibit IV.13.2.

⁹⁴ *Id.* at Exhibit IV.13.3.

⁹⁵ See CBP’s email, “RE: EAPA 7969 Request for Information – BC,” dated October 28, 2024. CBP rejected Supplier 2’s submission because it lacked the certifications required under 19 C.F.R. § 165.5(b)(2) and lacked adequate public summaries of business confidential information in the public version.

provide an adequate public version. CBP set a deadline of November 22, 2024 for Supplier 2 to resubmit,⁹⁶ and on November 19, 2024, Supplier 2 resubmitted its response.⁹⁷

Supplier 2 stated that it does not [PRODUCTION ACTIVITY].⁹⁸ Supplier 2 stated that it had no sales of Mg to U.S. customers, but sold [# OF SHIPMENTS] of Mg to Supplier N.⁹⁹ Supplier 2 also provided an invoice showing that it purchased the Mg it sold to Supplier N from [COMPANY NAME] a Mg producer in [COUNTRY]. Supplier 2 provided a PL, PO, Turkish Customs import declaration form, and a certificate of analysis (COA) showing that Supplier 2 obtained the Mg from [COMPANY NAME].¹⁰⁰ Supplier 2 also furnished an invoice, PL, and BOL showing that it sold the merchandise to Supplier N,¹⁰¹ as well as a bank transfer proving that it received payment from Supplier N for this sale.¹⁰²

The ATT Suppliers

On August 20, 2024, CBP sent RFIs to Tigemer¹⁰³ and Supplier A,¹⁰⁴ with August 27, 2024 response deadlines. CBP asked Tigemer and Supplier A to identify the ingot manufacturer for sales to Thompson, a flow chart for Mg ingot production, a list of Mg ingot production equipment, 2023 Mg ingot production quantity, and annual Mg ingot production capacity.¹⁰⁵

Supplier A and Tigemer Initial RFI Responses

On August 26, 2024, Tigemer and Supplier A submitted their responses, but CBP rejected them and established a September 3, 2024 resubmission deadline.¹⁰⁶ On September 3, 2024, Supplier A and Tigemer resubmitted their responses.¹⁰⁷ Tigemer stated that it does not manufacture Mg

⁹⁶ See CBP's email, "rejection of Supplier 2 SRFI Response," dated November 15, 2024.

⁹⁷ See Supplier 2's letter, "Re: Investigation Concerning Evasion of Antidumping Duty Orders on Magnesium Metal from China: EAPA Consolidated Case Number 7969: Response to Request for Information," dated November 19, 2024 (Supplier 2 RFI Response).

⁹⁸ *Id.* at 8.

⁹⁹ *Id.* at 9.

¹⁰⁰ *Id.* at Exhibit IV.5.

¹⁰¹ *Id.* at Exhibit IV.12.

¹⁰² *Id.* at Exhibit IV.14.

¹⁰³ See CBP's letter to Tigemer, "RE EAPA 7969 - Request for Information," dated August 20, 2024 (Tigemer RFI). See also CBP's email, "RE: EAPA 7969 - Request for Information from Tigemer – PD," dated August 20, 2024.

¹⁰⁴ See CBP's letter to Supplier A, "RE: EAPA 7969 - Request for Information," dated August 20, 2024 (Supplier A RFI). See also CBP's email, "EAPA 7696 - Request for Information from Supplier A - BUSINESS CONFIDENTIAL," dated August 20, 2024.

¹⁰⁵ See Tigemer RFI, Supplier A RFI, Supplier N RFI, and Supplier 1 RFI at 9.

¹⁰⁶ See CBP's email, "EAPA 7969 - Rejection of Tigemer's RFI Response" dated August 26, 2024. CBP rejected Tigemer's submission because of filing deficiencies that included *inter alia*, the BC version did not enclose BC information within square brackets. See also CBP's email, "RE: EAPA 7696 - Request for Information from Supplier A - BUSINESS CONFIDENTIAL," dated August 26, 2024 (Supplier A RFI). See also 19 C.F.R. § 165.5(b)(2).

¹⁰⁷ See Supplier A's letter, "EAPA CASE 7969," dated September 3, 2024 (Supplier A RFI Response) and Tigemer's letter, "RE: RESPONSE TO REPORT TRLED-NO (7969)," dated September 3, 2024 (Tigemer RFI response).

ingots and bought all the Mg ingots it sold Thompson from Supplier A.¹⁰⁸ Supplier A stated that it produced all the Mg ingots Tigemer sold Thompson. Supplier A also reported that [OWNER'S NAME] owns Supplier A.¹⁰⁹ Supplier A reported its annual Mg ingot production capacity as [#] Kg, but said that it only produced [#] Kg of Mg ingots in 2023.¹¹⁰ Supplier A further stated that it has [#] melting furnaces at its factory in [LOCATION], Turkey that can produce AZ91E Mg alloy ingots, AZ91D Mg ingots, AZ63 Mg alloy ingots, and other Mg alloys.¹¹¹

SRFIs to Supplier A and Tigemer, Initial RFI to Supplier T

On October 4, 2024, CBP sent SRFIs to Tigemer¹¹² and Supplier A,¹¹³ and an initial RFI to Supplier T,¹¹⁴ the purported source of Supplier A's scrap, with a deadline for each supplier to respond by October 18, 2024. All three suppliers requested an extension,¹¹⁵ so CBP extended the response deadline until October 29, 2024 for all three companies.¹¹⁶ Supplier A and Supplier T submitted their responses on October 19, 2024,¹¹⁷ and Tigemer submitted its response on October 29, 2025. CBP rejected all three responses because, instead of providing answers to many questions, Tigemer, Supplier A, and Supplier T wrote:

Because of Turkish Republic 'Personal Data Protection Law No: 6698' we cannot share such documents via any online sharing system (E-mail, upload ...etc) even if we mention them as Public or Business. {sic.} In addition, we also don't believe well understanding of those documents would be possible without face to face explanations {sic.}. But, CBP can assign any person or any independent Auditor to visit our company and check all those documents together with us one by one. We guarantee to disclose and explain all related records and documents for the control of this Auditor to show our support {sic.}.¹¹⁸

¹⁰⁸ See Tigemer RFI Response at 3.

¹⁰⁹ See Supplier A RFI Response at 1 and 9.

¹¹⁰ *Id.* at 9.

¹¹¹ *Id.* at 8-9.

¹¹² See CBP's letter to Tigemer, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Tigemer SRFI1). See also CBP's email to Tigemer, "EAPA 7969 - Tigemer Supplemental Request for Information - BC including the ATTACHMENT," dated October 4, 2024.

¹¹³ See CBP's letter to Supplier A, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Supplier A SRFI1). See also CBP's email to Supplier A, "EAPA 7969 - Supplemental Request for Information - BUSINESS CONFIDENTIAL including the ATTACHMENT," dated October 4, 2024.

¹¹⁴ See CBP's Letter to Supplier T, "RE: EAPA 7969 - Request for Information," dated October 4, 2024 (Supplier T RFI). See also CBP's email To Supplier 2, "EAPA 7969 - Supplier T Request for Information - BC including the ATTACHMENTS," dated October 4, 2024.

¹¹⁵ See Supplier A's email, "RE: EAPA 7969 - Supplemental Request for Information - BUSINESS CONFIDENTIAL including the ATTACHMENT," dated October 14, 2024, Tigemer's email, "EAPA 7969 - REQUEST FOR EXTRA TIME," dated October 13, 2024, and Supplier T's email, "EAPA 7969 - REQUEST FOR EXTRA TIME," dated October 13, 2024.

¹¹⁶ See CBP's email, "RE: EAPA 7969 - REQUEST FOR EXTRA TIME," dated October 15, 2024, CBP's email, "EAPA 7969 - PARTIAL EXTENSION of time for Supplier A SRFI Response," dated October 15, 2024.

¹¹⁷ See CBP's email, "rejection of Tigemer's SRFI response," dated November 1, 2024.

¹¹⁸ See CBP's email, "Rejection of Supplier A's SRFI Response," dated November 1, 2024, CBP's email, "Rejection of supplier T's SRFI response," dated November 1, 2024, and CBP's email, "rejection of Tigemer's SRFI response," dated November 1, 2024.

CBP also reminded Tigemer and Supplier A that failure to provide the requested information would constitute a failure to cooperate and comply with the investigation to the best of their ability and could result in the application of adverse inferences. CBP provided all three companies an opportunity to provide the requested information by November 13, 2024.¹¹⁹

All three suppliers requested additional time to resubmit and CBP extended the resubmission deadline until November 22, 2024,¹²⁰ then further extended the resubmission deadline for these three suppliers until December 2, 2024.¹²¹ On November 25, 2024, Tigemer¹²² and Supplier T resubmitted their responses,¹²³ and on November 26, 2024, Supplier A resubmitted its response.¹²⁴ CBP rejected these resubmissions because the written narratives referred to attachments that were previously rejected and included multiple attachments with the same name. CBP established a deadline of December 20, 2024 for the ATT Suppliers to resubmit their responses with correctly numbered attachments as referenced in the written narratives.¹²⁵ The ATT Suppliers resubmitted their responses with correctly named attachments on December 14, 2024.¹²⁶

Supplier A SRFI1 Response

Supplier A stated that it has no direct sales to the United States but sold Mg ingots to Tigemer, who then sold them to the U.S.¹²⁷ Supplier A also provided a table of monthly Mg ingot

¹¹⁹ See CBP's email, "Rejection of Supplier A's SRFI Response," dated November 1, 2024, CBP's email, "Rejection of supplier T's SRFI response," dated November 1, 2024, and CBP's email, "rejection of Tigemer's SRFI response," dated November 1, 2024.

¹²⁰ See CBP's email, "RE: Rejection of supplier T's SRFI response," dated November 5, 2024 and Supplier T's email dated November 5, 2024, "Re: Rejection of supplier T's SRFI response," dated November 5, 2024. See also Supplier A's email, "RE: EAPA 7969 - PARTIAL EXTENSION of time for Supplier A SRFI response - BUSINESS CONFIDENTIAL," dated November 13, 2024, CBP's email to Supplier A, "Supplier A SRFI Response Extension Granted," dated November 13, 2024, Supplier T's email, "Re: Rejection of supplier T's SRFI response," dated November 5, 2024, CBP's email to Supplier T, "RE: Rejection of supplier T's SRFI response," dated November 5, 2024, CBP's email, "Tigemer SRFI Response Extension Granted," dated November 13, 2024.

¹²¹ See CBP's email, "RE: Meet to discuss EAPA 7969," dated November 19, 2024. This was in response to an extension request from [OWNER'S NAME] for an extension for both Supplier T and Tigemer sent from Tigemer's company email address. See Supplier T's email, "Re: Meet to discuss EAPA 7969," dated November 19, 2024. See also Supplier A's email, "Re: Meet to discuss EAPA 7969," dated November 19, 2024 and CBP's email, "Extending the deadline for Supplier T, Supplier A, and Tigemer to resubmit RFI responses," dated November 19, 2024.

¹²² See CBP's email, "Rejection of Tigemer's SRFI Response," dated December 13, 2024.

¹²³ See CBP's email, "FW; cleaning up the record – [SUPPLIER T'S NAME]," dated December 13, 2024.

¹²⁴ See CBP's email, "EAPA 7969 - Rejection of supplier A SRFI," dated December 13, 2024.

¹²⁵ See CBP's email, "Rejection of Tigemer's SRFI Response," dated December 13, 2024, CBP's email, "EAPA 7969 - Rejection of supplier A SRFI," dated December 13, 2024, and CBP's email, "FW; cleaning up the record – [SUPPLIER T'S NAME]," dated December 13, 2024.

¹²⁶ See Tigemer's letter, "RE: EAPA 7969 - Request for Information," dated December 14, 2024 (Tigemer SRFI1 Response), Supplier T's letter, "RE: EAPA 7969 - Request for Information," dated December 14, 2024 (Supplier T RFI Response), and Supplier A's letter, "RE: EAPA 7969 - Request for Information," dated December 14, 2024 (Supplier A SRFI1 response).

¹²⁷ See Supplier A SRFI1 Response at 41.

production showing that it produced [#]Kg of Mg ingots in 2023.¹²⁸ This total quantity is greater than the [#] Kg of Mg ingot in Supplier A reported producing in 2023 in its RFI response.¹²⁹ Supplier A also told CBP that “[CONSUMPTION RATE],¹³⁰ but claimed that when melting scrap to make Mg ingots the “[PRODUCTION INFORMATION].”¹³¹ According to its SRFI response, it takes approximately [#] hours to melt the scrap.¹³² Supplier A also stated that all scrap is stored at its factory in [CITY], Turkey.¹³³

Supplier A also explained that its [#] melting furnaces can each melt [#] Kg of scrap [#] times per day.¹³⁴ According to its SRFI response, these furnaces are also used to produce Mg anodes, zinc products, and aluminum products.¹³⁵ Supplier A stated that if it uses all furnaces to produce Mg for [#] days per year, its Mg ingot production capacity is [#] kg per year.¹³⁶

Supplier A stated that all the scrap it purchased was [NATIONALITIES]-origin.¹³⁷ When CBP asked Supplier A to list the inputs used to produce covered merchandise,¹³⁸ Supplier A stated that the inputs were magnesium alloy scrap, “Pure Magnesium [SOURCE INFORMATION] {sic.}”, zinc, and aluminum.¹³⁹ Thus, Supplier A admitted that it uses pure Mg as an input to produce Mg alloy ingots and does not only use scrap. Supplier A also stated that “{...} we purchase pure Magnesium Ingots from China.”¹⁴⁰

CBP asked Supplier A if it maintains warehouse receipt slips for its Mg scrap shipments, and the company stated in its response that it does not.¹⁴¹ Supplier A did not provide a response when asked if it maintains warehouse withdrawal slips.¹⁴² However, Supplier A responded “yes we maintain these documents”¹⁴³ when CBP asked whether or not Supplier A “maintains material consumption worksheet, cost-center codes, *etc.* that track the monthly consumption of inputs and outputs on a product-specific basis.”¹⁴⁴

Supplier A also provided sales contracts, invoices, PLs, BOLs, Turkish customs import declarations, and country of origin certificates (COOs) for Supplier T’s purchases of scrap from [COMPANY NAME] a scrap dealer based in [LOCATION]; invoices, and bank payment slips

¹²⁸ *Id.* at 50.

¹²⁹ *Id.* at 9.

¹³⁰ *Id.* at 47.

¹³¹ *Id.* at 49.

¹³² *Id.* at 57.

¹³³ *Id.* at 47.

¹³⁴ *Id.* at 49.

¹³⁵ *Id.* at 47.

¹³⁶ *Id.* at 47.

¹³⁷ *Id.* at Attachment 22.

¹³⁸ *Id.* at 19.

¹³⁹ *Id.* at 52-53.

¹⁴⁰ *Id.* at 70.

¹⁴¹ *Id.* at 20 and 65.

¹⁴² *Id.* Response at 65.

¹⁴³ *Id.* at 20 and 68.

¹⁴⁴ *Id.* at 68.

for Supplier A's purchases of scrap from Supplier T; and invoices and bank payments slips for Supplier A's sales of ingots to Tigemer. Supplier A grouped these sets of documents by entry number and provided one set each for entries 6414,¹⁴⁵ 7320,¹⁴⁶ 4190,¹⁴⁷ 1195,¹⁴⁸ 5030,¹⁴⁹ and 6028,¹⁵⁰ which indicated that Supplier A tracked the scrap from each individual scrap purchase by Supplier T through production all the way to its sale of the finished products to Tigemer. However, Supplier A provided no documents tracking scrap consumption, or showing how Supplier A tracked individual scrap purchases to production batches. The prices in the sales contracts for Supplier T's scrap purchases did not match the prices on the invoices, even though the contract numbers on the invoices matched those on the accompanying sales contracts. The payment slips for Tigemer's payments to Supplier A also did not match the invoice prices.¹⁵¹

Tigemer SRFI1 Response

Tigemer explained that it and Supplier T are both owned by [OWNER'S NAME] but are unaffiliated.¹⁵² Tigemer explained that it never took physical possession of the Mg ingots, which were shipped directly from Supplier A to Thompson.¹⁵³ Tigemer also provided photographs of the ingots packaged for shipment which showed bundles of ingots stacked on other ingots.¹⁵⁴

Supplier T RFI Response

Supplier T stated that it does not produce Mg ingots but is a trading company. In its attachments, Supplier T provided sales contracts, invoices, COOs, PLs, BOLs, and bank transfer slips for its purchase of [#] Kg of [COUNTRY] origin Mg scrap from [COMPANY NAME] in [#] separate sales contracts in [YEAR].¹⁵⁵

¹⁴⁵ *Id.* at Attachment 1.

¹⁴⁶ *Id.* at Attachment 2.

¹⁴⁷ *Id.* at Attachment 3.

¹⁴⁸ *Id.* at Attachment 4.

¹⁴⁹ *Id.* at Attachment 5.

¹⁵⁰ *Id.* at Attachment 6.

¹⁵¹ *Id.* at Attachments 1-6.

¹⁵² *See* Tigemer SRFI1 Response at 14.

¹⁵³ *Id.* at 17.

¹⁵⁴ *Id.* at Attachment 10.

¹⁵⁵ *See* Supplier T RFI Response at Attachments 1-6.

SRFI2s to Tigemer and Supplier A

On December 13, 2024, CBP sent additional SRFIs to Tigemer¹⁵⁶ and Supplier A,¹⁵⁷ with deadlines of December 24, 2024 for them to respond. CBP asked Supplier A for, *inter alia*, all certificates of analysis (COA)s for the production of Mg AZ91E supplied to Thompson through Tigemer from April 17, 2023 until December 12, 2024, and a monthly inventory of Mg scrap and pure Mg ingots from April 2023 until July 2024. CBP specified that it was requesting the quantity in inventory at the beginning of each month, the quantity consumed, and the quantity of newly purchased Mg scrap and pure Mg ingots.¹⁵⁸ CBP also asked Supplier A how it was possible that it produced [#] Kg of Mg alloy in 2023 but only purchased [#] Kg of scrap, as it claimed in its SRFI1 response.¹⁵⁹

Supplier A SRFI2 Response

Supplier A submitted its response on December 24, 2024.¹⁶⁰ Although Supplier A provided the monthly quantities of pure Mg ingots it imported, the monthly quantities of Mg scrap purchased, and the monthly quantities of AZ91 Mg ingots imported, it did not provide an inventory with monthly *consumption*, or the quantity in inventory at the beginning of each month.¹⁶¹ The information Supplier A provided showed that in [MONTH], supplier A purchased [#] Kg of AZ91 ingots directly from [COUNTRY].¹⁶² It is very unusual for a producer of a product to buy the same product it makes from a competitor.

Supplier A explained the discrepancy between its 2023 production and scrap purchase quantities by stating that some scrap purchased in 2021 and 2022 was still available in 2023, and that for Mg alloys other than AZ91, such as [TYPES OF Mg ALLOYS] it uses [INPUT DESCRIPTION]. However, Supplier A provided no evidence that scrap leftover from 2021 was still available in 2023.¹⁶³

In response to CBP's request for COAs for its Mg ingot production, Supplier A provided documents labeled as "[DOCUMENT DESCRIPTION]" and 470 test results conducted on Mg showing the chemical composition. However, there was no indication on these documents what was being tested (*i.e.*, scrap, ingots, anodes, or other products Supplier A produces). These

¹⁵⁶ See CBP's letter to Tigemer, "RE: EAPA 7969 – Second Supplemental Request for Information," dated December 13, 2024 (Tigemer SRFI2). See also CBP's email to Tigemer, "EAPA 7969 - 2nd Supplemental RFI," dated December 13, 2024.

¹⁵⁷ See CBP's letter to Supplier A, "RE: EAPA 7969 – Second Supplemental Request for Information," dated December 13, 2024 (Supplier A SRFI2). See also CBP's email to Supplier A, "Supplier A 2nd Supplemental RFI," dated December 13, 2024.

¹⁵⁸ See Supplier A SRFI2 at 4.

¹⁵⁹ *Id.* at 4.

¹⁶⁰ See Supplier A's letter, "RE: EAPA 7969 – Second Supplemental Request for Information," dated December 24, 2024 (Supplier A SRFI2 Response).

¹⁶¹ *Id.* at Attachments 12-14.

¹⁶² *Id.* at Attachment 14.

¹⁶³ *Id.* at 4.

documents also did not have a heat number, production quantity, furnace number, time, or any other information that would connect them to a specific production batch.¹⁶⁴

Tigemer SRFI2 Response

CBP asked Tigemer why in its response to the SRFI1, it reported selling [#] Kg of pure Mg ingots in 2023, while Supplier A only reported supplying Tigemer with [#] Kg of pure Mg ingots in 2023.¹⁶⁵ CBP also requested records Tigemer maintains in the normal course of business to record annual sales, costs, revenues, and profit/loss. CBP also noted that Tigemer did not provide this information when CBP requested it in the October 4, 2024 SRFI and reminded Tigemer of adverse inferences.¹⁶⁶

Tigemer submitted its SRFI2 response on December 24, 2024.¹⁶⁷ Tigemer provided a balance sheet,¹⁶⁸ income statement,¹⁶⁹ trial balance,¹⁷⁰ and 2023 tax payment records.¹⁷¹ Tigemer did not concretely explain why the quantity of pure Mg ingots it reported selling in 2023 was greater than the quantity it purchased from Supplier A. Instead, Tigemer claimed that “[SUPPLIER A’S COMMENTS ABOUT THIS DISCREPENCY].” Tigemer further speculated that “[SUPPLIER A SPECULATION ABOUT THE REASON FOR THE DISCREPENCY].”¹⁷² Notably, Tigemer did not provide a definitive answer to this question but merely speculated about possible explanations for the discrepancy.¹⁷³

Supplier A SRFI3 and Response

On December 30, 2024, CBP sent a third SRFI to Supplier A with a response deadline of January 6, 2025.¹⁷⁴ Supplier A requested an extension,¹⁷⁵ and CBP extended the deadline until January 7,

¹⁶⁴ *Id.* at Attachment 11. *See also Id.* at Attachments 5-10.

¹⁶⁵ *See* Tigemer SRFI2 at 4.

¹⁶⁶ *Id.* at 5.

¹⁶⁷ *See* Tigemer’s letter, “EAPA 7969 – Second Supplemental Request for Information,” dated December 24, 2024 (Tigemer SRFI2 Response).

¹⁶⁸ *Id.* at Attachment 1.

¹⁶⁹ *Id.* at Attachment 4.

¹⁷⁰ *Id.* at Attachment 5.

¹⁷¹ *Id.* at Attachments 2-3.

¹⁷² *Id.* at 6.

¹⁷³ *Id.* at 6.

¹⁷⁴ *See* CBP’s letter, “RE: EAPA 7969 – Second Supplemental Request for Information,” dated December 30, 2024 (Supplier A SRFI3). *See also* CBP’s email, “Supplier A 3rd SRFI - BUSINESS CONFIDENTIAL,” dated December 30, 2024.

¹⁷⁵ *See* Supplier A’s email, “RE: USA 4 A 3rd SRFI - BUSINESS CONFIDENTIAL_Request for Extension of SRFI 3 Deadline,” dated January 3, 2025.

2025.¹⁷⁶ After Supplier A requested a second extension, CBP extended the response deadline until January 8, 2025.¹⁷⁷ On January 8, 2025, Supplier A submitted its response.¹⁷⁸

CBP asked for a monthly inventory of AZ91 scrap, newly produced AZ91 ingots, and pure Mg ingots. In this question, CBP noted that it had already asked Supplier A for an inventory of scrap in the SRFI1 and the SRFI2, but Supplier A had never provided an inventory of its monthly scrap consumption. CBP also reminded Supplier A that failure to provide this information could result in the application of adverse inferences to make a determination as to evasion.¹⁷⁹ CBP also requested any documents Supplier A maintains to track specific annual production costs (*i.e.*, labor costs, raw material costs, electricity costs, *etc.*) and noted that it had already asked for this information in the SRFI and SRFI2, but Supplier A did not provide it in its previous responses. CBP further stated that if Supplier A failed to provide the information, CBP could apply adverse inferences.¹⁸⁰ CBP also asked Supplier A how it connects COAs to individual production batches and what volume of AZ91E Mg ingots Supplier A can produce in a single batch from a single furnace.¹⁸¹

Supplier A provided the requested inventory and reported having [#] Kg of Mg scrap in its inventory at the beginning of January 2023.¹⁸² However, according to its SRFI2 response, this is equal to the total quantity of scrap Supplier A reported purchasing in 2022, which indicates that Supplier A consumed no scrap in 2022. This also suggests that Supplier A had no scrap leftover from 2021, even though Supplier A claimed in its SRFI2 response to have 2021 scrap leftover in 2023.¹⁸³ Supplier A also reported producing [#] Kg of AZ91 Mg ingots in 2023. Notably, this quantity is different than the [#] Kg Supplier A reported producing in its September 3, 2024 RFI response or the [#] Kg of Mg ingots it reported producing in its December 14, 2024 SRFI1 response.¹⁸⁴

Supplier A explained that it did not create COAs for each production batch that it sent to Thompson, but instead, selected ingots from multiple batches stacked together for shipment on a single pallet and tested sample ingots.¹⁸⁵ This indicates that the certificates of verification Supplier A provided in its RFI responses do not directly tie to individual production batches and

¹⁷⁶ See CBP's email, "RE: USA 4 A 3rd SRFI - BUSINESS CONFIDENTIAL_Request for Extension of SRFI 3 Deadline," dated January 6, 2024.

¹⁷⁷ See CBP's email, "RE: USA 4 A 3rd SRFI - BUSINESS CONFIDENTIAL_Request for Extension of SRFI 3 Deadline," dated January 7, 2025 and Supplier A's email, "RE: USA 4 A 3rd SRFI - BUSINESS CONFIDENTIAL_Request for Extension of SRFI 3 Deadline," dated January 7, 2025.

¹⁷⁸ See Supplier A's letter, "Re: EAPA 7969 – Second Supplemental Request for Information," dated January 8, 2025 (Supplier A SRFI3 Response).

¹⁷⁹ See Supplier A SRFI3 at 4.

¹⁸⁰ *Id.* at 5-7.

¹⁸¹ *Id.* at 7.

¹⁸² See Supplier A SRFI3 Response. at Exhibit 1.

¹⁸³ See Supplier A SRFI2 Response at 4 and Attachment 12 compared with Supplier A SRFI3 Response at Exhibit 1.

¹⁸⁴ See Supplier A SRFI3 Response at Exhibit 1 and compare with Supplier A SRFI response at 48 and Supplier A RFI Response at 9.

¹⁸⁵ See Supplier A SRFI3 Response at 10.

do not record the chemistry for an entire pallet.¹⁸⁶ In response to CBP’s request for documents tracking specific production costs, Supplier A provided a cost of goods sold (COGS) statement.¹⁸⁷ The COGS also included its annual 2023 and 2024 costs for its total costs of raw materials in 2023 and total manufacturing costs. Supplier A provided no documents tying these costs to monthly production.¹⁸⁸

Supplier A SRFI4, Tigemer SRFI3, and Supplier T SRFI1

On January 24, 2025, CBP sent Supplier A, Tigemer, and Supplier T another SRFI requesting that they state the location of their business records, with a response deadline of January 31, 2025 for all three companies.¹⁸⁹ They submitted their responses on January 29, 2024.¹⁹⁰ Supplier A stated that it stores all “production quality documents” and labor records in its [LOCATION], Turkey location,¹⁹¹ while its accounting, banking, and most production records are kept at its location in [CITY], Turkey.¹⁹² Tigemer and Supplier T reported that all their business records are maintained at the same address in [CITY AND PROVINCE], Turkey.¹⁹³ Supplier T stated that it maintains a branch office [LOCATION] in [LOCATION], Turkey and an office located at [ADDRESS].¹⁹⁴

V. Voluntary Factual Information and Rebuttal Information

Voluntary Factual Information

On November 13, 2024, the Alleger submitted voluntary factual information (VFI). CBP rejected the Alleger’s VFI submission because it did not provide adequate public summaries and established a deadline of December 2, 2024 for Trinity to resubmit.¹⁹⁵ CBP also extended the deadline for parties to the investigation to submit VFI until December 2, 2024.¹⁹⁶ The Alleger

¹⁸⁶ *Id.* at 12.

¹⁸⁷ *Id.* at 7-8 and Exhibit 3.

¹⁸⁸ *Id.* at Exhibit 3.

¹⁸⁹ See CBP’s letter, “EAPA 7969 – Fourth Supplemental Request for Information,” dated January 24, 2025 (Supplier A SRFI4), CBP’s letter to Tigemer, “EAPA 7969 – Third Supplemental Request for Information,” dated January 24, 2024 (Tigemer SRFI3), and CBP’s letter to Supplier T, “EAPA 7969 – Second Supplemental Request for Information,” dated January 24, 2025 (Supplier T SRFI1).

¹⁹⁰ See Supplier A’s letter, “Re: EAPA 7969 – Fourth Supplemental Request for Information,” dated January 29, 2025 (Supplier A SRFI4 Response), Tigemer’s letter, “EAPA 7969 – Third Supplemental Request for Information,” dated January 29, 2024 (Tigemer SRFI3 Response), and Supplier T’s letter, “EAPA 7969 – Second Supplemental Request for Information,” dated January 29, 2024 (Supplier T SRFI1 Response).

¹⁹¹ See Supplier A SRFI4 response at 4.

¹⁹² See SRFI4 Response at 4.

¹⁹³ See Tigemer SRFI3 Response at 5 and Supplier T SRFI1 Response at 5.

¹⁹⁴ See Supplier T SRFI1 Response at 5-6.

¹⁹⁵ See CBP’s email, “Extending Voluntary Information Deadline and Rejection of Trinity Factual Information – EAPA 7969,” dated November 19, 2024. CBP rejected Trinity’s November 13, 2024 VFI submission because the Alleger did not explain why it requested business confidential treatment for bracketed information and because Trinity did not provide adequate public summaries of the bracketed information in its public version.

¹⁹⁶ *Id.*

resubmitted its VFI on December 2, 2024¹⁹⁷ and also submitted new VFI.¹⁹⁸ On January 17, 2025, Thompson submitted a letter urging CBP to reject Trinity's December 2, 2024 VFI submission.¹⁹⁹ After reviewing this letter, and Trinity's VFI submission, CBP rejected Trinity's December 2, 2024 VFI submission due to bracketing of public information and established a deadline of February 4, 2025 for Trinity to resubmit.²⁰⁰ On February 4, 2025, Trinity Resubmitted its VFI.²⁰¹

On December 2, 2024, Thompson also requested an extension to the deadline for VFI submission until December 4, 2024.²⁰² Accordingly, CBP further extended the deadline for parties to the investigation to submit VFI until December 4, 2024.²⁰³ On December 4, 2024, Thompson submitted VFI.²⁰⁴ On January 17, 2025, Thompson submitted a letter urging CBP to reject Trinity's resubmitted VFI.²⁰⁵ CBP rejected Trinity's December 2, 2024 VFI submission and established a deadline of February 4, 2025 for Trinity to resubmit.²⁰⁶ On February 4, 2025, Trinity Resubmitted its VFI.²⁰⁷

Trinity's VFI

¹⁹⁷ See CBP's email, "Rejecting Trinity's December 2 VFI Resubmission and clarification of BC treatment," dated January 28, 2025.

¹⁹⁸ See Trinity's letter, "Re: EAPA 7969: Trinity Metals' Additional Voluntary Factual Information," dated December 2, 2024 (Trinity Additional VFI).

¹⁹⁹ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Comments on Trinity Metal LLC's Requests for BCI Treatment," dated January 17, 2024.

²⁰⁰ See CBP's email, "Rejecting Trinity's December 2 VFI Resubmission and clarification of BC treatment," dated January 28, 2025.

²⁰¹ See Trinity's letter, "Re: EAPA 7969: Trinity Metals' Resubmission of Voluntary Factual Information," dated February 4, 2025 (Trinity VFI).

²⁰² See Thompson's email, "Extension Request Update" dated December 2, 2024.

²⁰³ See CBP Memorandum, "EAPA Case No. 7969 – Extension of Time for Voluntary Submission of Factual Information," dated December 2, 2024.

²⁰⁴ See Thompson's letter, "Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Submission of Factual Information" dated December 4, 2024 (Thompson VFI). CBP made this available for the parties to the investigation to view in the EAPA case management system (CMS) on December 6, 2024. CBP emailed the parties to the investigation on December 6, 2024, clarifying that the deadline to submit rebuttal factual information would be December 16, 2024, in accordance with 19 C.F.R. § 165.23(c)(1). See CBP's email, "EAPA 7969 - Voluntary factual information and resubmitted RFI response now available in CMS," dated December 6, 2024. According to 19 C.F.R. § 165.23(c)(1), parties to the investigation have 10 days to submit information in rebuttal to any information added to the administrative record on or after that 200th day of the investigation. CBP clarified in this email that the parties get 10 days from the time the information was made available for them to view in CMS. CBP made Thompson's VFI available for the parties to the investigation to view in the EAPA case management system (CMS) on December 6, 2024.

²⁰⁵ See Thompson's letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Comments on Trinity Metal LLC's Requests for BCI Treatment," dated January 17, 2024.

²⁰⁶ See CBP's email, "Rejecting Trinity's December 2 VFI Resubmission and clarification of BC treatment," dated January 28, 2025.

²⁰⁷ See Trinity's letter, "Re: EAPA 7969: Trinity Metals' Resubmission of Voluntary Factual Information," dated February 4, 2025 (Trinity VFI).

The Allegor provided an affidavit from its CEO, Wade Conner,²⁰⁸ and a report from a metallurgist analyzing the photographs Supplier A provided in its SRFI1 response.²⁰⁹ The metallurgist claimed that it is standard industry practice for Mg manufacturers to issue COAs and that each heat from a single crucible should have its own COA. Therefore, according to the metallurgist, a producer like Supplier A with several small melting furnaces would need to provide multiple COAs for each shipment. This report elaborated that “a delivery of 20 t {MT} of magnesium Alloy AZ91E ingot would require a test report containing between [#s] individual Certificates of Analysis {sic}.”²¹⁰

The metallurgist also contended in his report that: “[

METALLURGIST’S COMMENT ABOUT FEASIBILITY OF MAKING AZ91E FROM SCRAP

].”²¹¹

In its December 2, 2024 additional VFI, the allegor submitted *inter alia*, screenshots of public websites for a Turkish primary Mg producer and most suppliers in this investigation,²¹² information on Mg recycling,²¹³ and a U.S. International Trade Commission (ITC) report on Mg from Israel.²¹⁴ In general, these Exhibits showed that there are several techniques for recycling Mg scrap.²¹⁵

Thompson’s VFI

In its VFI submission, Thompson provided an affidavit from its Vice President, Robert Purgert. Mr. Purgert attested that even though Kar Mineral Madencilik (Esan) is the only primary Mg producer in Turkey, it is possible to produce AZ91E Mg alloy through a secondary process using recycled Mg scrap. According to Mr. Purgert, Supplier A, Supplier 1, and another producer all manufacture AZ91E in Turkey using this secondary process.²¹⁶ Thompson also provided evidence supporting this assertion including:

- an excerpt of Supplier 1’s website showing that Supplier 1 lists AZ91E Mg alloy ingots as a product that it sells.²¹⁷
- an explanation from Mr. Purgert that the chemistry specifications for AZ91D and AZ91E are ranges that overlap except at the highest Mg purity levels of the AZ91E range. This

²⁰⁸ See Trinity VFI at Exhibit A.

²⁰⁹ *Id.* at Attachment 2.

²¹⁰ *Id.* at Attachment 2, Page 1.

²¹¹ *Id.* at Attachment 2, page 3.

²¹² See Trinity Additional VFI at Exhibits 2-10.

²¹³ *Id.* at Exhibits 11-14.

²¹⁴ *Id.* at Exhibit 1.

²¹⁵ *Id.* at Exhibits 11-14.

²¹⁶ See Thompson VFI at 2-4.

²¹⁷ *Id.* at 4.

means that even though Supplier A only lists AZ91D on its website, it is capable of producing AZ91E.²¹⁸

- World Bank trade data showing that Turkey exported a greater quantity of Mg than it imported in 2023.²¹⁹
- World Bank trade data showing that in 2023 Turkey's combined imports of scrap from India and the United States were 399,943 Kg.²²⁰

Mr. Purgert's affidavit stated that he visited Supplier A's factory and witnessed Mg ingot production and Thompson provided photographs from Mr. Purgert's visits to the factories of Supplier A, and Supplier 1 showing production of Mg.²²¹

In a separate VFI filing on December 4, 2024, Thompson also argued that Trinity does not qualify as an interested party eligible to file an EAPA allegation.²²² Thompson argued that Trinity is not a producer of Mg metal.²²³ To support this contention, Trinity provided an excerpt from the ITC final determination which stated that "{s}econdary alloy magnesium is produced by recyclers from delivered scrap which is melted in a steel crucible"²²⁴ Thompson also provided screenshots of Trinity's website showing that it does not list the melting of scrap as one of its business activities.²²⁵ Thompson also provided a questionnaire instruction booklet from the ITC investigation.²²⁶ Citing to this instruction booklet, Thompson pointed out that the ITC identified four types of Mg producers: (1) primary producers who smelt Mg from ore or produce it from seawater, (2) secondary producers who produce Mg from scrap recycling, (3) "diecasters who manufacture diecast parts and produce secondary Mg by recycling scrap generated in their die-casting operations", and (4) grinders who grind, chip or crush Mg.²²⁷

Thompson also argued that Trinity did not provide sufficient evidence in the Allegation that it is a wholesaler of U.S. domestic like product.²²⁸ Thompson argued that the Allegation did not provide evidence that Thompson's sale was to a bona fide third party and does not show that Thompson made a reasonable profit from its sales of Mg.²²⁹ The Importer then asserted that Trinity's Allegation was "eerily similar to what one often finds in 'new shipment' reviews in AD/CVD proceedings before the U.S. Department of Commerce ("Commerce"). In many such

²¹⁸ *Id.* at 4-5, 14-15, and 17.

²¹⁹ *Id.* at 5 and Exhibit RP-8.

²²⁰ *Id.* at 5 and Exhibit RP-9.

²²¹ *Id.* at 10, 23-26, and Exhibit RP-10.

²²² See Thompson's Letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Comments on Trinity Metals LLC's Interested Party Status," dated December 4, 2024 (Status Comments).

²²³ *Id.* at 3-4.

²²⁴ *Id.* at 9, quoting from *Magnesium from China and Russia*, Investigation No. 731-TA-1071 and 1072, USITC Pub. 3763 (Apr. 11, 2005) (ITC Report). Thompson provided the entire report at Status Comments at Exhibit 3.

²²⁵ See Status Comments at 10-12 and Exhibit 6.

²²⁶ *Id.* at Exhibit 2.

²²⁷ *Id.* at 8.

²²⁸ *Id.* at 4-6.

²²⁹ *Id.* at 6.

cases, Commerce fails to find that a *bona fide* sale was made by the new shipper.”²³⁰ Thompson also provided a Commerce review as an example.²³¹

Rebuttal Information (RI)

Trinity Metals requested an extension until December 23, 2024 to submit information in rebuttal to Thompson’s VFI,²³² and Thompson also requested an extension of time to submit information in rebuttal to Trinity’s December 2, 2024 VFI until December 18, 2024.²³³ CBP extended the deadline to submit information in rebuttal to Thompson’s VFI until December 23, 2024 and the deadline to submit information in rebuttal to Trinity’s VFI until December 18, 2024.²³⁴

On December 18, 2024, Thompson submitted rebuttal information (RI) in response to Trinity’s VFI,²³⁵ and on December 23, 2024, Trinity submitted RI in response to Thompson’s VFI.²³⁶ On January 17, 2025, Thompson requested that CB reject Trinity’s December 2, 2024 VFI submission and December 23, 2024 RI submission because some of the information for which Trinity requested BC treatment was publicly available on Thompson’s website.²³⁷ CBP rejected Trinity’s December 23, 2024 RI and set a February 10, 2025 deadline for Trinity to resubmit its RI.²³⁸ On February 7, 2025, Trinity resubmitted its RI.²³⁹

Thompson’s Rebuttal Information

In its RI, Thompson stated that Supplier A often creates only a single COA for an entire day’s Mg ingot production and Thompson explained that it does not require COAs because it performs its own analysis of the ingots it purchases to confirm that they have the correct chemistry to meet its order specifications.²⁴⁰ Thompson also stated some of its customers “require {Thompson} to use a third-party metallurgical laboratory to provide Certificates of Analysis, and not those

²³⁰ *Id.* at 5-6.

²³¹ *Id.* at Exhibit 1.

²³² See Trinity’s letter, “Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.’s Request for Extension of Time for Rebuttal Voluntary Submission of Factual Information,” dated December 10, 2024.

²³³ See Thompson’s letter, “Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.’s Request for Extension of Time for Rebuttal Voluntary Submission of Factual Information,” dated December 10, 2024.

²³⁴ See CBP Memorandum, “EAPA Case No. 7969 - Extension of Time for Rebuttal Information,” dated December 11, 2024.

²³⁵ See Thompson’s letter, “Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.’s Submission of Rebuttal Factual Information,” dated December 18, 2024 (Thompson’s Rebuttal Info).

²³⁶ See CBP’s email, “Rejection of Trinity’s December 23, 2024 Rebuttal Information,” dated February 3, 2025.

²³⁷ See Thompson’s letter, “Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.’s Comments on Trinity Metal LLC’s Requests for BCI Treatment,” dated January 17, 2024.

²³⁸ See CBP’s email, “Rejection of Trinity’s December 23, 2024 Rebuttal Information,” dated February 3, 2025.

²³⁹ See Trinity’s letter, “Re: EAPA 7969: Trinity Metals’ Rebuttal Factual Information,” dated February 7, 2025 (Trinity RI).

²⁴⁰ See Thompson RI at Exhibit 1.

provided by the supplier of magnesium ingot.”²⁴¹ Thompson supported this assertion with an example of a COA it obtained from an independent laboratory.²⁴²

Mr. Thomas further attested that “{...} many producers of AZ91D and AZ91E magnesium ingots are producers of secondary magnesium, such as [COMPANY], Amacor, MagReTec and [COMPANY] {sic.} Thus, Trinity’s allegation that only ‘primary’ producers of magnesium ingot are capable of making AZ91D and AZ91E is simply false.”²⁴³

Thompson also provided an affidavit from a professor of foundry engineering who had reviewed videos of Supplier A’s production. This affidavit stated that “{i}n the technology used by [COMPANY NAME] Company {Supplier A}, it is not necessary to add pure magnesium to achieve the required chemical composition of the AZ91E alloy, provided that the scrap materials are correctly selected and have a minimum content of impurities {...}”²⁴⁴ The affiant also provided a table comparing the chemistries of AZ91D and AZ91E to demonstrate that the ranges for most elements in these two alloys overlap.²⁴⁵

Thompson provided an affidavit from another chemical engineer who stated that “it is quite possible to produce AZ91E alloy from circulating scrap, but this requires proper processing and quality control.”²⁴⁶ Thompson included a third affidavit from a former professor of foundry technology who explained that there are three grades of Mg scrap, including “class 1 magnesium scrap” which is usually collected from diecast foundries.²⁴⁷ According to the affiant, “none of this would have any elevated levels of impurities.”²⁴⁸ This expert further stated that “{i}f a Magnesium {sic.} recycling company uses mainly claim class 1 AZ91D Magnesium {sic.} scrap for a given production batch, and has implemented a dedicated quality management system, they can easily obtain the AZ91E ingot specification.”²⁴⁹

Thompson also provided a customs ruling from 1993, HQ 557046, that determined that “the alloying operation substantially transforms the pure magnesium into magnesium alloy ingots.”²⁵⁰

Trinity’s Rebuttal Information

In its RI submission, Trinity asserted that the Mg Thompson imported from Supplier N (produced by Supplier 1) was likely Chinese-origin because Mr. Purgert claimed that the Mg was “made from scrap which I {Robert Purgert} personally saw are the ends of pure magnesium

²⁴¹ *Id.* at Exhibit 1.

²⁴² *Id.* at Attachment 1.

²⁴³ *Id.* at 002

²⁴⁴ *Id.* at Exhibit 2.

²⁴⁵ *Id.* at Exhibit 2.

²⁴⁶ *Id.* at Exhibit 3.

²⁴⁷ *Id.* at Exhibit 4

²⁴⁸ *Id.* at Exhibit 4.

²⁴⁹ *Id.* at Exhibit 4.

²⁵⁰ *Id.* at Exhibit 5.

ingots used in a production process elsewhere{....}”²⁵¹ Trinity then stated that the pieces referred to by Robert Purgert in the Importer’s VFI are commonly called “butt ends” or “stubs” and the country of origin of any Mg ingots produced from remelting these “stubs” would be “the country where the pure magnesium was originally produced – likely China.”²⁵² However, Trinity provided no evidence for its contention that the pure Mg ingots Supplier 1 used to make the AZ91 alloy were Chinese-origin, except to assert that ingots made by a “Western” producer would usually be a “dull, gray color”, in contrast to Chinese-produced ingots that would normally be “brighter, like silver due to the Chinese practice of acid-washing the ingots.”²⁵³ Trinity then submitted CBP Ruling N272856 as Exhibit 1 and CBP ruling HQ 961439 as Exhibit 2 to support its contention that ingots producing ingots by remelting these stubs would not change the country of origin of the stubs.²⁵⁴

Trinity also provided an issues and decision memorandum (IDM) from a Department of Commerce (Commerce) scope inquiry on pure and alloy Mg ingots (magnesium metal, *i.e.*, covered merchandise) made from a combination of Chinese pure Mg butt ends and other scrap. Commerce determined that remelting Chinese pure Mg ingots butt ends to produce alloy Mg ingots in France did not substantially transform the ingots and they remained subject to the order on pure magnesium from China.²⁵⁵ Commerce also noted that the French producer refused to provide ratios of Chinese-origin to non-Chinese-origin inputs used in its production.²⁵⁶

Trinity also provided a Commerce scope inquiry IDM which determined that production of alloy Mg billets in Canada using Chinese and/or Russian pure Mg ingots constitutes a substantial transformation. However, the production process Commerce examined in this scope inquiry involved both a change of chemistry (from pure Mg to alloy Mg) and a change in shape (from ingot to billet). Commerce stated that “the input {pure Mg ingots from China and Russia} and output {alloy Mg billets} remain in the same ‘class or kind’ of merchandise.”²⁵⁷ As Trinity points out in its RI, Commerce indicated in this IDM that it likely would not have determined that changing the chemistry from pure Mg to alloy Mg constituted a substantial transformation without the additional transformation from ingots to billets using expensive machinery.²⁵⁸

Trinity also responded to Thompson’s assertion that Trinity does not qualify as an interested party to file an EAPA allegation by firstly claiming that it is a producer of secondary like product and secondly, asserting that it is a wholesaler of U.S. domestic like product. Specifically, Trinity claimed that it is a producer of domestic like product because it “produces mill-ready cold-processed magnesium scrap that can be charged directly into primary and secondary aluminum

²⁵¹ See Trinity RI at 2, quoting from Thompson’s VFI at 22.

²⁵² See Trinity RI at 3.

²⁵³ *Id.* at 6 and Exhibits 8 and 9.

²⁵⁴ *Id.* at 3 and Exhibit 1.

²⁵⁵ *Id.* at Attachment 5.

²⁵⁶ *Id.* at attachment 5.

²⁵⁷ *Id.* at Exhibit 6, page 19.

²⁵⁸ *Id.* at 4.

furnaces as a magnesium metal input, directly interchangeable with magnesium alloy ingots.”²⁵⁹ The Alleger also pointed out that grinders are one type of Mg producer identified by the ITC as part of the domestic industry. The Alleger further stated that “{like Trinity Metals, grinders do not melt or cast magnesium ingots. However, the ITC found that grinders nevertheless engage in sufficient production-related activity to be considered domestic producers – even though they neither melt nor cast ingots.”²⁶⁰ Trinity supported this claim by providing information about its operations,²⁶¹ and providing an ITC Report which showed that grinders were considered part of the domestic Mg industry.²⁶²

Trinity also argued that it qualifies as a wholesaler by pointing out that Commerce does not require “that a company engage in a minimum amount of commercial domestic wholesale activity.”²⁶³ Trinity also provided a standing analysis memorandum from a Commerce administrative review which found that Commerce should apply the NAICS definition of a wholesaler. This analysis further explained that:

The NAICS definition of “wholesale trade” describes the wholesaling process as ‘an intermediate step in the distribution of merchandise.’ Wholesalers are organized to sell or arrange the purchase or sale of (a) goods for resale (*i.e.*, goods sold to other wholesalers or retailers), (b) capital or durable non-consumer goods, and (c) raw and intermediate materials and supplies used in production.²⁶⁴

This analysis memorandum argued that there is no quantitative sales volume required for a company to qualify as a wholesaler.²⁶⁵

VI. Extension of Determination Deadline

On January 28, 2025, CBP provided notice to the parties to the investigation that it was extending by 60 days the deadline for CBP to make a determination as to evasion.²⁶⁶ CBP noted that 19 U.S.C. § 1517(c)(1)(B) and 19 C.F.R. § 165.22(c) authorize CBP to extend the determination deadline of an EAPA investigation by not more than 60 days when an investigation is extraordinarily complicated and additional time is necessary. CBP explained that this investigation was extraordinarily complicated due to the number of entities to be investigated including Supplier A, Supplier T, Supplier 1, Supplier 2, Supplier N, Tigemer, and Thompson. Accordingly, CBP explained that May 3, 2025 would be the deadline to make its

²⁵⁹ *Id.* at 10.

²⁶⁰ *Id.* at 11.

²⁶¹ *Id.* at Attachment 15.

²⁶² *Id.* at Attachment 16.

²⁶³ *Id.* at 13.

²⁶⁴ *Id.* at Exhibit 17.

²⁶⁵ *Id.* at Exhibit 17.

²⁶⁶ See CBP’s letter, “RE: EAPA CASE 7969 – Notice Extension of Determination as to Evasion,” dated January 28, 2025 (Determination Extension). See also 19 U.S.C. § 1517(c)(1)(B) and 19 C.F.R. § 165.22(c).

determination as to evasion, with notice provided in accordance with 19 U.S.C. § 1517(c)(4) and 19 C.F.R. § 165.27(b).²⁶⁷

VII. Other Research Conducted by CBP

On March 12, 2025, CBP added information about various Mg alloys to the administrative record. This information shows that AZ63, AZ91D, and AZ91E each include chemical compositions containing between 88.8 and 91.2 percent Mg.²⁶⁸ Supplier A has also claimed that it produces a non-ASTM standard Mg alloy, which Supplier A referred to in RFI responses as “[#] percent” and the AZ93 standard Mg alloy from Chinese pure Mg.²⁶⁹ Both the [#] percent alloy and AZ63 have Mg content levels that fall within the same 88.8 and 91.2 percent Mg range as AZ91D and AZ91E.²⁷⁰

VIII. Verification

From February 27 to March 6, 2025, a team of CBP officials conducted verification at the [CITIES], Turkey locations of Supplier A and the [LOCATION], Turkey location of Tigemer and Supplier T.²⁷¹ The team made the following observations:

Observations about Supplier A’s Scrap

- Supplier A claimed during verification that it buys scrap exclusively from Supplier T.²⁷² This directly contradicts Supplier A’s RFI responses because Supplier A claimed to have purchased scrap from other suppliers.²⁷³
- Supplier A also stated that it “produces” [DESCRIPTION] (HP) scrap when it melts Chinese pure Mg and casts it into molds for its HP anodes. This scrap consists of Mg pieces that stick out from the mold. Supplier A stated that it scrapes off these edges and the shavings become HP scrap.²⁷⁴ Supplier A confirmed several times that the input used to produce HP scrap is Chinese pure Mg ingots (99.9 percent Mg content), but the resulting scrap is approximately [#] percent Mg.²⁷⁵
- At verification, Supplier A did not have the invoice for its largest purchase of Mg from Supplier T, [#] Kg it reported buying in April 2022. However, Supplier T provided a copy of this invoice. This indicates that Supplier T’s set of invoice records are more complete than Supplier A’s.²⁷⁶

²⁶⁷ See Determination Extension. See also 19 U.S.C. § 1517(c)(4) and 19 C.F.R. § 165.27(b).

²⁶⁸ See CBP Memorandum, “EAPA 7969 - Adding Public Information on Magnesium Alloys to the Administrative Record,” dated March 12, 2025 (Mg Alloy Memo).

²⁶⁹ See Supplier A SRFI1 Response at 38 and 51. See also Supplier A SRFI2 Response at 4.

²⁷⁰ See Mg Alloy Memo.

²⁷¹ See “EAPA Case 7969 – On-Site Verification Report” dated April 4, 2025 (Verification Report).

²⁷² *Id.* at 22.

²⁷³ See Supplier A SRFI2 at Attachment 12.

²⁷⁴ See Verification Report at 13 and 22.

²⁷⁵ *Id.* at 13 and 22.

²⁷⁶ See Verification Report at 17 (Table 1), Supplier T Exhibit 1B, and Supplier A Exhibit 15. See also Supplier A SRFI1 response at Attachment 6, Supplier A SRFI2 Response at Attachment 12, Supplier A SRFI3 Response at Exhibit 1, and Verification Report at Supplier A Exhibit 15, Annex 5.

- Supplier T could not provide sales invoices corresponding to [#] purchases of scrap. Supplier A reported buying from Supplier T in its SRFI3 response. Other invoices Supplier T provided had lower scrap quantities than what Supplier A reported buying in its RFI responses.²⁷⁷
- Supplier A RFI responses reported buying [#] Kg of scrap from Supplier T in 2023,²⁷⁸ but Supplier T's invoices show that Supplier T only sold [#] Kg of scrap.²⁷⁹
- Comparing the invoices provided at verification to RFI responses, CBP learned that Supplier A had included purchases of [PRODUCT] in the quantity of scrap it reported purchasing in the inventory movement table Supplier A provided as Exhibit 1 of its SRFI3 response. The invoices described these [PRODUCT] as [#] percent Mg, but did not identify what elements comprised the other [#] percent.²⁸⁰ This Mg content falls within the specifications of AZ91E.²⁸¹
- Supplier A did not pay Supplier T for each invoice. Instead, Supplier A paid Supplier T for multiple purchases when funds became available in a running balance. Tigemer also paid Supplier A in a running balance. As a result, CBP was unable to tie Supplier A's scrap invoices to debits in its accounting system, credits in Supplier T's system, or bank payment slips. CBP was also unable to tie Tigemer's ingot purchases to debits in its accounting system, credits in Supplier A's accounting system, or to bank payment slips.²⁸²

Supplier A non-Scrap Purchases

Invoices CBP reviewed at verification show that Supplier A purchased [#] Kg of [PRODUCT DESCRIPTION] from Supplier T in [MONTH]²⁸³ and [#] Kg of [PRODUCT DESCRIPTION] from Supplier T in [MONTH]²⁸⁴ for a total of [#] Kg. Neither Supplier A nor Supplier T ever reported these purchases in their RFI responses. Although percentages of other alloying elements in these [PRODUCT] are not listed in these invoices, the Mg content listed falls within the specification range of AZ91E.²⁸⁵

Supplier A had a shipping container with Chinese-origin AZ91D and pure Mg ingots inside. The corresponding Turkish customs import declaration only lists the AZ91D, not the pure Mg included in this shipment.²⁸⁶ However, CBP noted both types of ingots in the shipping container. The commercial invoice, pro forma invoice, packing list, bill of lading, and country of origin

²⁷⁷ *Id.* at 17 (Table 2) and Supplier T Exhibit 1B compared with Supplier A SRFI2 Response at Attachment 12.

²⁷⁸ *See* Supplier A SRFI3 Response at Exhibit 1.

²⁷⁹ *See* Verification Report at 17 (Table 2) and Supplier T Exhibit 1B. *See also* Supplier A SRFI3 at Exhibit 1.

²⁸⁰ *Id.* at 17 (Table T) comparing invoices provided in Supplier T Exhibit 1B with Supplier A SRFI3 Response at Exhibit 1. *See also* Verification Report at Exhibit 1B and Supplier A SRFI3 Response at Exhibit 1. At verification, Supplier A explained that the [#] percent Mg alloy has a chemical composition of approximately [#] percent Mg, but various other alloying elements not bound by any specific standard.

²⁸¹ *See* Mg Alloy Memo.

²⁸² *See* Verification Report at Tigemer Exhibit 1, Annex 3.

²⁸³ *Id.* at 18 (Table 3) and Supplier T Exhibit 1B.

²⁸⁴ *Id.* at 17 (Table 2). *See also* Verification Report at Supplier T Exhibit 1B.

²⁸⁵ *See* Mg Alloy Memo.

²⁸⁶ *Id.* Supplier A Exhibit 15, Annex 3, page 9/35 and Supplier A Exhibit 8, page 1/7a.

certificate accompanying this shipment also listed both types of ingots.²⁸⁷ This indicates that the Turkish import documents Supplier A provided do not list all the ingots Supplier A imported.

When CBP asked why Supplier A purchased the AZ91D ingots, Supplier A claimed that it purchased them from China because it was buying a new [DESCRIPTION] machine for a new facility it was building nearby. Supplier A explained that the warranty agreement with the equipment supplier required the use of this imported AZ91D rather than their own AZ91D for the machine's first production run because the imported ingots were "virgin" (made from pure Mg, rather than from scrap).²⁸⁸ However, when asked for documentation that an agreement with the manufacturer required Supplier A to use this kind of imported AZ91D ingots in the first production batch, Supplier A could provide none.²⁸⁹

Supplier A showed CBP officials a construction site a few miles from its main factory, which it claimed was the planned site where its new machine would be installed. CBP officials observed that construction of the building was visibly incomplete. Supplier A stated that it was unable to complete the purchase of the new equipment because it was very expensive, and Supplier A did not yet have money to pay for it.²⁹⁰ Supplier A purchased the AZ91D ingots from China in [DATE], more than one year before CBP observed at verification that the new building was still incomplete.²⁹¹

This set of facts indicates that Supplier A likely made a false statement to CBP because the ingots were purchased more than a year before verification, when the equipment had not arrived and the building to house it was not even complete. Supplier A's inability to provide any written agreement and its inability to identify characteristics or chemical properties of the imported ingots that would make them superior to Supplier A's own AZ91 supports this inference.²⁹²

Raw Material Consumption

CBP officials observed that Supplier A did not weigh or measure the quantity of scrap it used for the demonstration batch of AZ91E production. When CBP asked why Supplier A did not measure or record scrap consumption for this batch, Supplier A stated that it does not create records of raw material consumption. Therefore, CBP could not verify Supplier A's scrap consumption rate and could not verify that it used scrap to produce the ingots it sold to Thompson. CBP also observed that Supplier A stored its scrap in large unlabeled sacks, so it is impossible to know what kind of scrap (e.g. HP, AZ91) was used.²⁹³

Supplier A's admission that it does not weigh the quantity of scrap it uses and does not record raw material consumption directly contradicts Supplier A's RFI responses because when asked if

²⁸⁷ *Id.* at Exhibit 8.

²⁸⁸ *See* Verification Report at 6-7.

²⁸⁹ *Id.* at 6.

²⁹⁰ *Id.* at 6.

²⁹¹ *Id.* at Supplier A Exhibit 15.

²⁹² *Id.* at 29.

²⁹³ *Id.* at 8.

it maintains worksheets that track consumption of inputs, Supplier A responded: “{y}es we maintain these documents.”²⁹⁴ Further, Supplier A also provided an inventory movement recording monthly scrap consumption in its SRFI3 response and Supplier A never told CBP in its response that this was based on an estimate.²⁹⁵ Because CBP learned that Supplier A does not track inventory movement,²⁹⁶ including raw material consumption, Supplier A made a false statement by providing an inventory not based on actual records.

Price of Scrap Compared with Pure Mg

At verification, Supplier A stated that it cannot produce AZ91E profitably using pure Mg as the input because the pure Mg was too expensive.²⁹⁷ This contradicts Supplier A’s RFI responses because Supplier A told CBP in its responses that it profitably can produce three other Mg alloys with approximately the same Mg content as AZ91E -AZ63, [ALLOY], and the [#] percent alloy-using Chinese pure Mg.²⁹⁸ Furthermore, CBP calculated the unit price (dollars per kilogram) that Supplier A paid for its scrap²⁹⁹ and compared it with the unit price (dollars per kilogram) that Supplier A paid for pure Mg, as listed on the invoices Supplier A provided.³⁰⁰ This analysis shows that [#] of Supplier A’s scrap purchases cost \$[#s] per Kg with the remaining purchase costing even more, \$[#] per kilogram. [#] of Supplier A’s [#] purchases of pure Mg were actually cheaper than these scrap prices. The relatively inexpensive pure Mg purchases included one purchase of [#] Kg for \$[#] per Kg, and Supplier A purchased enough pure Mg at prices lower than Supplier A’s cheapest purchase of scrap to produce all the ingots Thompson imported from Tigemer.³⁰¹ Furthermore, all of Supplier A’s 2023 purchases of pure Mg were less per Kg than the price Supplier A sold the AZ91 ingots to Tigemer.³⁰² Therefore, Supplier A made a false statement by claiming that it could not produce AZ91E Mg profitably from scrap.³⁰³

Production and Production Records

The verification team reviewed daily production records for February and March 2023³⁰⁴ and monthly records for Mg production from January 2023 to March 2024.³⁰⁵ Supplier A explained that it records production by hand, at the end of each day, then creates typed records for each month based on these hand-written, daily records.³⁰⁶ Supplier A acknowledged that it runs multiple furnaces in a day, over the course of several shifts.³⁰⁷ Therefore, it is not possible to trace any of the daily production records back to an individual production batch from a single

²⁹⁴ *Id.* at 68.

²⁹⁵ *See* Supplier A SRFI3 Response at Exhibit 1.

²⁹⁶ *See* Verification Report at 8.

²⁹⁷ *Id.* at 22.

²⁹⁸ *See* Supplier A SRFI2 Response at 4.

²⁹⁹ *See* Verification Report at 22-23 (Table 4 and Table 5) and Supplier A Exhibit 15, Annex 5.

³⁰⁰ *Id.* at 23 (Table 5) and Supplier A Exhibit 15, Annex 2.

³⁰¹ *Id.* at 22-23 and Supplier A Exhibit 15, Annex 2.

³⁰² *Id.* at 23 (Table 6). *See also* Supplier A SRFI3 at Attachments 1-6.

³⁰³ *Id.* at 22-23 (Tables 4 and 5), Supplier A Exhibit 15, Annex 2, and Supplier A Exhibit 15, Annex 5.

³⁰⁴ *Id.* at Supplier A Exhibit 3.

³⁰⁵ *Id.* at Supplier A Exhibits 3 and 7.

³⁰⁶ *Id.* at 13 and 27.

³⁰⁷ *Id.* at 12-13 and Supplier A Exhibit 1.

furnace.³⁰⁸ The team also observed that these records only record production output, not the quantity of inputs.³⁰⁹

In Supplier A's production records for 2023, the word "scrap" ("hurda" in Turkish) was written next to each daily and monthly production quantity of AZ91 and the [#] percent Mg alloy. Supplier A explained that this indicated scrap was used as an input for these alloys on these days.³¹⁰ This information contradicts Supplier A's SRFI2 response, where it stated that pure Mg is the input used to make the [#] percent alloy.³¹¹ This false statement is significant because Supplier A would have needed to consume scrap in 2023 to produce both the [#] percent magnesium alloy and AZ91 and would therefore, have needed more total scrap than what Supplier A told CBP in its RFI responses.³¹²

Calculations Pertaining to Whether Supplier A had a Sufficient Quantity of Scrap

Supplier A reported in RFI responses that it consumed [#] Kg of scrap in 2023 and had [#] Kg of scrap at the beginning of that year.³¹³ Invoices for Supplier T's sales of scrap to Supplier A only show [#] Kg of scrap sales to Supplier A in 2023.³¹⁴ Therefore, Supplier A falsely reported the quantity of scrap it consumed in 2023, the year when most of Thompson's entries were produced because [CALCULATION] Kg of scrap, which is less than [#] Kg.³¹⁵ The fact that Supplier A does not actually record, or even measure scrap consumption³¹⁶ supports the conclusion that Supplier A made a false statement when it reported consuming [#] Kg of scrap in 2023.³¹⁷

CBP sources also show that Thompson imported [#] Kg of Mg ingots from January 2022 to June 2024.³¹⁸ According to Supplier A's RFI responses, it produced [#] AZ91 Mg ingots from January to June 2024, so [DESCRIPTION] the AZ91E Thompson imported in early 2024 was produced in 2023.³¹⁹ Supplier A also stated that it requires 100 Kg of scrap to produce [#] Kg of Mg alloy ingots.³²⁰ If true, Supplier A's scrap consumption rate would have been [CALCULATION], meaning it needed [#] Kg of scrap to produce one Kg of AZ91 ingots. Based on this consumption rate Supplier A would have needed [CALCULATION] Kg to produce all the ingots Thompson bought from Tigemer in 2022 and 2023.³²¹

Even if Supplier A can produce exactly the same amount of [#] percent magnesium alloy as the quantity of scrap consumed, with no loss, then Supplier A would need [#] Kg of scrap to

³⁰⁸ *Id.* at 12-13 and Supplier A Exhibits 3 and 7.

³⁰⁹ *Id.* at Exhibit 3 and Exhibit 7.

³¹⁰ *Id.* at 27 and Supplier A Exhibits 3 and 7.

³¹¹ See Supplier A SRFI2 Response at 4.

³¹² *Id.* at 4 and Supplier A Exhibits 3 and 7.

³¹³ See Supplier A SRFI3 Response at Exhibit 1.

³¹⁴ See Verification Report at 17 (Table 2) and Supplier T Exhibit 1B.

³¹⁵ *Id.* at 31-32, compared with Supplier A SRFI3 Response at Exhibit 1.

³¹⁶ See Verification Report at 8.

³¹⁷ See Supplier A SRFI3 Response at Exhibit 1.

³¹⁸ *Id.* at 31. See also EAPA Receipt Report.

³¹⁹ See Supplier A SRFI3 Response at Exhibit 1.

³²⁰ See Supplier A SRFI1 Response at page 47.

³²¹ *Id.* at 47. See also Verification Report at 31 for this calculation.

produce the [#] Kg of [#] percent Mg alloy recorded in its production records for 2023.³²² Supplier A reported that all its purchased scrap was approximately [#] percent Mg.³²³ Therefore, Supplier A needed at least [#] Kg to produce all the ingots Thompson imported from Tigemer in 2022 and 2023, plus the [#] percent Mg alloy ingots it reported producing because [CALCULATION] Kg.³²⁴ Supplier T could only provide invoices at verification for sales of [#] Kg of scrap in 2022 and 2023³²⁵ and Supplier A told CBP at verification that Supplier T was its only scrap supplier.³²⁶ Therefore, Supplier A did not purchase enough scrap in 2022 and 2023 to produce all the Mg ingots Thompson bought from Tigemer from 2022 to June 2024, plus the [#] percent alloy Supplier A produced in 2023.³²⁷

Certificates of Analysis

Supplier A explained that it does not produce COAs that record the chemistry of each production batch.³²⁸ Instead, Supplier A usually creates a single test each day. Supplier A's records do not record the time, the quantity of production, the furnace used in production, or even what is being tested (*i.e.*, ingots, anodes, scrap).³²⁹ Because Supplier A stated that it tests the chemistry of its purchased scrap and requires all scrap purchases to be approximately [#] percent Mg,³³⁰ CBP was not able to confirm that the analyses Supplier A provided in its RFI responses are even tests of ingots.³³¹ As a result, the COAs Supplier A provided in its SRFI2 response do not constitute evidence of production.³³²

Thompson's Attempted Submission of Late VFI

While CBP officials were already in Turkey conducting verification, Thompson submitted additional VFI on February 27, 2025. CBP rejected this submission as untimely because it was submitted after the December 2, 2024 deadline for parties to the investigation to submit VFI.³³³

IX. Written Arguments

On November 14, 2024, CBP notified parties to the investigation that it was extending the deadline for written arguments pursuant to 19 C.F.R. § 165.22(c) and that CBP would “notify the parties to the investigation of the new deadline at a later date.”³³⁴ On February 20, 2025, CBP

³²² See Verification Report at 24 (Table 7 for the total annual quantity) and Exhibits 3 and 7.

³²³ *Id.* at 22.

³²⁴ *Id.* at 31-32.

³²⁵ *Id.* at 18, 32, and Supplier T Exhibit 1B.

³²⁶ *Id.* at 22.

³²⁷ *Id.* at 32-33.

³²⁸ *Id.* at 10.

³²⁹ *Id.* at 10 and SRFI2 at Attachments 5-12.

³³⁰ See Verification Report at 22-25.

³³¹ See SRFI2 at Attachments 5-12.

³³² *Id.* at Attachments 5-12. See also Verification Report at 10 and Supplier A SRFI1 Response at 51 and 55, and Supplier A SRFI3 Response at 8 and 10.

³³³ See CBP's Email, “EAPA 7969 - Rejection of February 27, 2025 Submissions,” dated February 27, 2025.

³³⁴ See CBP's email, “Extension of deadline for written arguments,” dated November 14, 2024. See also 19 C.F.R. § 165.22(c).

explained by email that there would likely be limited time for written arguments after the release of the verification report and encouraged parties to prepare any written arguments not related to the verification report in advance.³³⁵ On April 4, 2025, CBP established April 10, 2025 as the deadline for written arguments.³³⁶ Trinity and Thompson submitted written arguments on April 10, 2025, but CBP rejected Thompson's submission because it lacked citations to information on the record. CBP established a deadline of April 14, 2025 for Thompson to resubmit.³³⁷ Thompson resubmitted its written arguments on April 14, 2025.³³⁸

Trinity submitted its response to Thompson's written arguments on April 24, 2025.³³⁹ Thompson submitted its response to Trinity's written arguments on April 25, 2025, but CBP rejected it because it introduced new factual information, made arguments not in response to Trinity's arguments, and had improper bracketing. CBP established a deadline of May 1, 2025 for Thompson to resubmit its written arguments with the arguments not in response to Trinity removed and the bracketing corrected.³⁴⁰ Thompson resubmitted its response to written arguments on May 1, 2025.³⁴¹ The parties' arguments generally cover the following topics (1) adverse inferences; (2) the scrap shortages CBP calculated; (3) the relative prices of pure Mg and scrap; (4) Trinity's interested Party Status; (5) other procedural matters; and (6) connecting Thompson's entries to China.³⁴²

(1) Arguments About Adverse Inferences

Arguments about Applying Adverse Inferences to Thompson

³³⁵ See CBP Email, "EAPA 7969 – Reminder of written arguments," dated February 20, 2025.

³³⁶ See CBP Email, "Setting the Deadline for Written Arguments," dated April 4, 2025.

³³⁷ See Trinity's Letter, "Re: EAPA 7969: Trinity Metals' Written Argument," dated April 10, 2025 (Trinity Arguments) and CBP's Email, "EAPA 7969 - Rejection of Thompson Written Arguments," dated April 11, 2025.

³³⁸ See Thompson's Letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Resubmission of Written Arguments," dated April 14, 2025 (Thompson Arguments).

³³⁹ See Trinity's letter, "Re: EAPA 7969: Trinity Metals' Response to Written Arguments," dated April 24, 2025 (Trinity Response Arguments).

³⁴⁰ See CBP's Email, "EAPA 7969 - Rejecting Thompson's Responses to Written Arguments," dated April 30, 2025.

³⁴¹ See Thompson's Letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Response to Written Arguments," dated May 1, 2025 (Thompson Response Arguments). On May 2, 2025, Thompson objected to CBP's rejection of a portion of its April 25, 2025 submission. See Thompson's Letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Request to Delete Point 3 of CBP's E-mail Dated April 30, 2025," dated May 2, 2025. On May 5, 2025, CBP allowed Thompson to resubmit some of the arguments CBP had required Thompson to remove from its April 25, 2025 submission by the deadline of May 6, 2025. See CBP's Email, "EAPA 7969 - Thompson's filings," dated April 5, 2025. Thompson resubmitted these arguments on May 6, 2025. See Thompson's Letter, "Re: Investigation Concerning Evasion of the Antidumping Duty Orders on Magnesium Metal from China; EAPA Consolidated Case Number 7969: Thompson Aluminum Casting Co., Inc.'s Resubmission of Portions of Rebuttal Written Arguments," dated May 6, 2025 (Thompson 2nd Response Arguments).

³⁴² See generally Thompson Arguments and Trinity Arguments.

Trinity argued that CBP should apply adverse inferences to Thompson and make an affirmative determination as to evasion with respect to the entries Thompson imported from both Tigemer and Supplier N. Trinity asserted, that “it is the importer who bears the responsibility for providing CBP with all information necessary to establish the correct duty amounts for its imports.”³⁴³ With respect to the entries Thompson received from Supplier N, Trinity argued that Thompson “has failed to demonstrate the country of origin of the original pure magnesium ingots (*i.e.*, butt ends), even though it is TAC’s {Thompson’s} obligation to act to the best of its ability and provide the information requested by CBP.”³⁴⁴ With respect to the entries Thompson imported from Tigemer, Trinity argued that because Supplier A does not maintain records of raw material consumption “there is simply no way to determine or trace which raw materials were purportedly used {by Supplier A} to produce the AZ91E alloy ingots imported by TAC {Thompson}.”³⁴⁵ According to Trinity, the Importer “failed to demonstrate the country of origin of the magnesium ingots it imported from Tigemer.”³⁴⁶

Trinity also argued that Thompson made false statements by declaring Supplier N and Tigemer as the manufacturers; misclassified two entries it purchased from Supplier 1 as [DESCRIPTION] Mg even though these entries contained [DESCRIPTION]; and falsely declared [COUNTRY] as the COO for entry 2039.³⁴⁷

Thompson argued that there is no basis for applying adverse inferences to Thompson because it has provided answers to CBP’s RFIs.³⁴⁸ Thompson also pointed out that instructions on the 7501 form allow filers to declare either the manufacturer or the foreign shipper in the manufacturer field.³⁴⁹ Thompson further argued that none of the incorrect statements it made on 7501s resulted in evasion of an AD or countervailing (CVD) order because there are no orders on Mg from either [COUNTRY] or Turkey.³⁵⁰

CBP’s Position:

CBP is not applying adverse inferences to Thompson. An importer is allowed to list the supplier or manufacturer of merchandise as the manufacturer on 7501s.³⁵¹ Therefore, Thompson’s declaration of Tigemer and Supplier N as the manufacturers on its 7501s is not a basis for adverse inferences or an affirmative determination as to evasion.

Thompson’s incorrect identification of the country of origin as [COUNTRY] for entry 2039³⁵² and its misclassification of entry numbers 2954 and 2039 as [DESCRIPTION] when they were in

³⁴³ See Trinity Arguments at 5.

³⁴⁴ *Id.* at 5.

³⁴⁵ *Id.* at 2.

³⁴⁶ *Id.* at 20.

³⁴⁷ See Trinity Response Arguments at 6-7.

³⁴⁸ See Thompson Response Arguments at 4 and 9.

³⁴⁹ *Id.* at 10 and 32.

³⁵⁰ *Id.* at 17.

³⁵¹ See ACE Entry Summary Instructions available at: <https://www.cbp.gov/document/guides/ace-entry-summary-instructions>.

³⁵² See Thompson RFI Response at Exhibits 10 and 11 and Thompson SRFI Response. See also EAPA Receipt Report.

fact, [PRODUCT], does not constitute evidence of evasion. Evasion is defined as the importation of covered merchandise by means of a false statement “that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”³⁵³ Because the ingots Thompson purchased from Supplier N were Turkish and [NATIONALITY] origin, they were not subject to AD/CVD duties.³⁵⁴ Therefore, these errors do not constitute evidence of evasion. However, Thompson’s pattern of repeated errors on 7501s demonstrates that it did not take reasonable care when filing its entries and demonstrates a history of misclassifying [DESCRIPTION] Mg as [DESCRIPTION] Mg.³⁵⁵

Arguments about Applying Adverse Inferences to Trinity

Thompson argued that CBP should apply adverse inferences to Trinity because Trinity misled CBP and failed to adequately investigate whether Turkish companies other than the Kar Mineral Madencilik smelter (Essan) could produce AZ91E. Thompson argued that before filing the Allegation, Trinity should have contacted Essan, Tigemer, or the Turkish government to ask if there were AZ91E producers in Turkey.³⁵⁶ The Importer also criticized Trinity for not sending a market researcher to Turkey to confirm the details of its Allegation.³⁵⁷ According to Thompson, Trinity failed to identify Supplier A as an AZ91E manufacturer, provided a wrong address for Tigemer, and did not search the internet for Mg factories in Turkey.³⁵⁸ Thompson also claimed that Trinity falsely alleged that secondary magnesium producers cannot produce the AZ91E alloy. Thompson pointed out that Trinity knew that Thompson had purchased AZ91D and AZ91E from [COMPANY NAME], a European secondary magnesium producer before it filed the Allegation.³⁵⁹ Thompson further argued that “{t}he provision that an allegation must contain ‘information reasonably available to the party that filed the allegation’ contains within it a clear obligation for the submitting party to make efforts to ensure that what it submits is accurate and complete information.”³⁶⁰

The Allegor responded that “Trinity conducted a detailed and rigorous investigation of its own before it submitted the allegation to CBP, which it explained and documented in its filing {of the Allegation}.”³⁶¹ Trinity pointed out that this information included Turkish trade statistics, shipment documents, a U.S. Geological Survey report, and screenshots of Tigemer’s website.³⁶² Trinity also stated that “there is no question that primary magnesium producers can produce

³⁵³ See 19 C.F.R. § 165.1.

³⁵⁴ See Supplier 1 SRFI Response at Exhibit IV.13.3, Supplier 2 SRFI Response at Exhibit IV.5. See also Thompson RFI response at Exhibit 10, which identifies Thompson’s direct supplier, and Exhibit 11 showing sales correspondence and 7501s for these entries.

³⁵⁵ See Thompson RFI Response at Exhibits 10 and 11.

³⁵⁶ See Thompson Written Arguments at 26-27. See also Thompson 2nd Response Arguments at 1-4.

³⁵⁷ *Id.* at 26.

³⁵⁸ *Id.* at 24-26.

³⁵⁹ *Id.* at 29.

³⁶⁰ *Id.* 24-25.

³⁶¹ See Trinity Response Arguments at 16.

³⁶² *Id.* at 16-17.

AZ91E alloy and that *some* secondary magnesium producers also have the ability to produce AZ91E alloy using *sufficiently clean scrap*. Trinity has never argued to the contrary.”³⁶³ Trinity stated that it did not identify [COMPANY NAME] because it was unsure of it was producing AZ91E Mg at the time Trinity filed the Allegation in 2024. Although Trinity was aware that [COMPANY NAME] had provided AZ91E to Thompson in 2021, Trinity states that there is no record evidence that [COMPANY NAME] could still produce AZ91E in 2024.³⁶⁴

CBP’s Position:

CBP is not applying adverse inferences to Trinity because it provided evidence reasonably available to it when it filed the Allegation. The EAPA regulations state that for an allegation to be properly filed, it must provide the “{n}ame and address of {the} importer against whom the allegation is brought{....}”³⁶⁵ However, there is no requirement in the EAPA regulations or statute requiring an interested party to identify the foreign producer, or the correct address of the foreign exporter.³⁶⁶ There is also no requirement that an allegor incur the cost of hiring a market researcher to visit the location of a foreign producer or exporter or take any other specific action to gather information. Instead, the EAPA regulations state that an interested party filing an allegation need only provide information that is “reasonably available”.³⁶⁷

In order to initiate an investigation based on a properly filed allegation, CBP must find that “{t}he information provided in the allegation or Federal agency request for an investigation reasonably suggests that the covered merchandise has been entered for consumption into the customs territory of the United States through evasion.”³⁶⁸ The information Trinity provided in the Allegation and Allegation Supplement met this standard.³⁶⁹

The record also shows that Trinity never stated in the Allegation or anywhere else on the record that only primary Mg producers can produce the AZ91E Mg alloy.³⁷⁰

Arguments About Applying Adverse Inferences to the Foreign Suppliers

According to Trinity, Supplier N and Supplier 1 made false statements by not disclosing that they are affiliated companies.³⁷¹

³⁶³ *Id.* at 18.

³⁶⁴ *Id.* at 19.

³⁶⁵ *See* 19 C.F.R. § 165.11(b) (3).

³⁶⁶ *See* 19 U.S.C. § 1617 and 19 C.F.R. § 165.11

³⁶⁷ *See* 19 C.F.R. § 165.11(b)(6).

³⁶⁸ *See* 19 C.F.R. § 165.15(b)(2).

³⁶⁹ *See generally* Initiation Memo, NOI, Allegation, and Allegation Supplement.

³⁷⁰ *See* Allegation at 3-4 and Confidential Exhibit B.

³⁷¹ *Id.* at 1, 5, and 6.

Thompson argued that CBP should not apply adverse inferences to any of the Turkish suppliers because {t}hey provided many hundreds of pages of responsive information.”³⁷² Thompson claimed that “when they {the Turkish suppliers} did not provide documents, such as raw material tracking records, it was simply because those documents do not exist {....}”³⁷³

Thomson then quoted from the final administrative determination in EAPA 7699 to argue that even though there were large gaps in the foreign producers’ responses, this could only lead to an affirmative determination if there was substantial evidence of evasion on the record of an investigation. Specifically, the Importer quoted EAPA 7699 where it stated there was “simply no indicia that any of these manufacturers was in receipt of Chinese merchandise falling within the scope of the AD/CVD Orders or had any other ties to China which would indicate even the possibility that transshipment occurred.”³⁷⁴ Thompson argued that situation in EAPA 7969 is analogous to EAPA 7699.³⁷⁵

CBP’s position:

There is not substantial evidence that Supplier N and Supplier 1 are affiliated. Although the Alleger provided an email in its VFI where an employee of Supplier N identified Supplier 1 as “our subsidiary company,” this email was dated [DATE], and it is not clear that Supplier 1 was a current affiliate of Supplier N at the time Supplier N and Supplier 1 submitted RFI responses.³⁷⁶

The only evidence that the ingot stubs used to make the entries Thompson bought from Supplier N were Chinese is Trinity’s assertion that Chinese ingots have a shiny, silver appearance, while ingots made from “Western” producers would be a dull gray color.³⁷⁷ However, CBP officials observed at verification that Supplier A also had a machine for polishing the surface of Mg ingots to make them shiny and give them a silver appearance.³⁷⁸ Therefore, the fact that the ingot stubs were shiny does not constitute substantial evidence that they were Chinese-origin.

However, CBP is applying adverse inferences to Supplier A because Supplier A made multiple false, incomplete, or misleading statements on the record of this investigation. Supplier A stated in its SRFI1 response that it maintains records of scrap consumption. In its SRFI3 response, instead of correcting the record on this point, Supplier A restated its false statement when it wrote “an inventory movement table is required {in Turkey} {....}”³⁷⁹ Supplier A then provided Exhibit 1 of its SRFI3 response, which it told CBP was a table of inventory movement from its

³⁷² See Thompson Response Arguments at 37.

³⁷³ *Id.* at 41.

³⁷⁴ See Thompson Response Arguments at 38-39, quoting from EAPA 7699 Final Administrative Determination at 12-13.

³⁷⁵ *Id.* at 42.

³⁷⁶ See Trinity’s Additional VFI at Exhibit 16.

³⁷⁷ See Trinity RI at 6.

³⁷⁸ See Verification Report at 12.

³⁷⁹ See Supplier A SRFI3 Response at 6.

records.³⁸⁰ However, at verification, Supplier A acknowledged that it has no records of scrap consumption or scrap inventory movement.³⁸¹ Supplier A also claimed in RFI responses to have multiple scrap suppliers, but at verification, told CBP that it purchased all its scrap from Supplier T.³⁸² Additionally, Supplier A overstated the quantity of scrap it purchased during the POI.³⁸³

The facts in EAPA 7969 are also unlike those in 7699 because in the present investigation, there is clear and direct evidence that Supplier A was in receipt of AZ91D alloy Mg ingots from China covered by the *Order*.³⁸⁴ AZ91D is a type of alloy Mg with greater than 50 percent but less than 99.8 percent Mg content with a chemistry defined by an ASTM standard,³⁸⁵ and therefore, AZ91D is clearly covered merchandise according to the plain language of the scope of the *Order*.³⁸⁶ Supplier A also received other Mg alloy [PRODUCT] with [#] percent Mg content, according to the invoices Supplier T provided at verification.³⁸⁷ These [PRODUCT], if made to an ASTM specification, would be merchandise covered by the scope of the *Order*, and if not made to an ASTM specification, would be merchandise covered by the AD order on pure Mg from China (A-570-832).³⁸⁸ Furthermore, the EAPA statute does not limit a determination as to evasion to only the type of evasion for which the investigation was initiated and states that CBP will make a determination as to whether “covered merchandise was entered into the customs territory of the United States Through evasion.”³⁸⁹ Covered merchandise is defined in the EAPA statute as “merchandise that is subject to— (A) *an* antidumping duty order issued under section 1673e of this title ; or (B) *a* countervailing duty order issued under section 1671e of this title {emphasis added}.”³⁹⁰ There is no requirement that covered merchandise be subject to the order identified in the allegation that led to initiation of an investigation, and CBP has found evasion of a different order than the one identified in the allegation in past EAPA investigations.³⁹¹ There is also clear evidence that all Mg Supplier A imported directly into Turkey without Supplier T acting as a middleman were imports of Chinese-origin merchandise. Therefore, there is a clear and strong connection between China and Supplier A.³⁹²

³⁸⁰ *Id.* at 6 and Exhibit 1.

³⁸¹ See Verification Report at 8, 27, and 31.

³⁸² See Supplier A SRFI1 Response at Attachment 22 and Verification Report at 22.

³⁸³ See Supplier A SRFI3 Exhibit1 compared with Verification Report at 17-18, Supplier T Exhibit 1B and Supplier A Exhibit 15.

³⁸⁴ See Verification Report at 6, 28-29, Supplier A Exhibit 8, and Supplier A Exhibit 15.

³⁸⁵ See Mg Alloy Memo.

³⁸⁶ See the *Order*.

³⁸⁷ See Verification Report at 17-18 and Supplier T Exhibit 1B.

³⁸⁸ See *Notice of Antidumping Duty Orders: Pure Magnesium From the People's Republic of China, the Russian Federation and Ukraine; Notice of Amended Final Determination of Sales at Less Than Fair Value: Antidumping Duty Investigation of Pure Magnesium From the Russian Federation* 60 Fed. Reg. 25691 (U.S. Department of Commerce: May 12, 1995)(Pure Mg Order).

³⁸⁹ See Initiation Memo at 4. See also 19 U.S.C. § 1517(c)(1)(A).

³⁹⁰ See 19 U.S.C. § 1517(a)(3).

³⁹¹ *Id.* See also CBP's Letter, “Re: EAPA Consolidated Case No. 7745 – Notice of Determination as to Evasion,” dated August 21, 2023 available at: <https://www.cbp.gov/document/publications/eapa-cons-case-7745-various-importers-notice-determination-evasion-august-21>.

³⁹² See Verification Report at Supplier A Exhibit 15.

(2) Arguments About the Scrap Shortage CBP Calculated

Scrap Leftover from 2021

Trinity argued that because the quantity of scrap in Supplier A's inventory matches the quantity it purchased in 2022, Supplier A did not use any scrap in 2022, and also that there was no scrap from 2021 leftover in Supplier A's inventory at the beginning of 2023.³⁹³

Thompson argues that there was a "very strong possibility that Supplier A has an opening inventory of scrap coming from 2021 carried forward to 2022" which would account for the apparent deficiency in Supplier A's 2022 and 2023 scrap purchases.³⁹⁴

CBP's Position:

Supplier A reported that it consumed [#] Kg of scrap in 2023, including all forms of scrap for all production.³⁹⁵ However, in RFI responses, Supplier A claimed it began 2023 with [#] Kg of scrap in its inventory,³⁹⁶ and CBP was able to tie only [#] Kg of 2023 of scrap sales to Supplier T's sales invoices to Supplier A.³⁹⁷ [CALCULATION] Kg of scrap available to Supplier A in 2023, which is less than the [#] Kg of scrap Supplier A reported consuming in 2023.³⁹⁸ It does not matter if the [#] Kg of scrap in Supplier A's inventory at the beginning of 2023 was purchased in 2022, 2021, or even earlier because the record shows that Supplier A had less scrap in 2023 than it reported consuming.

Whether Supplier A Produced the [#] Percent Alloy from Scrap

Thompson also objected to CBP's calculations estimating the total quantity of scrap Supplier A needed to produce the Mg ingots Thompson imported from Tigemer and the [#] percent Mg alloy that according to Supplier A's production documents, it made from scrap in 2023. Thompson argued that not all the [#] percent magnesium ingots Supplier A produced in 2023 were made from scrap, even though Supplier A's production records have the Turkish word for scrap next to every record of the [#] percent Mg alloy production because CBP misunderstood what Supplier A said at verification.³⁹⁹

Trinity pointed out that there is no evidence on the record to support Thompson's contention that Supplier A did not use scrap for all its production of the [#] percent Mg alloy.⁴⁰⁰

³⁹³ See Trinity Written Arguments at 15-16.

³⁹⁴ See Thompson Written Arguments at 18.

³⁹⁵ See Supplier A SRFI3 Response at 6 and Exhibit 1.

³⁹⁶ See Supplier A SRFI3 Response at Exhibit 1.

³⁹⁷ See Verification Report at 17.

³⁹⁸ See Supplier A SRFI3 Response at 6 and Exhibit 1.

³⁹⁹ See Thompson Arguments at 17.

⁴⁰⁰ See Trinity Response Arguments at 13.

CBP's Position:

The six CBP officials present at verification clearly heard Supplier A explain that whenever it wrote the word “scrap” next to a daily or monthly record of production of a specific alloy, this meant that it used scrap for production of that alloy on that day or month.⁴⁰¹ Thompson officials, who were not present at verification when CBP officials reviewed these records⁴⁰² cannot plausibly claim to have a better knowledge of what was said at verification than the CBP officials who were there. The record contains no evidence to support Thompson’s claim that CBP misunderstood the Supplier A company officials.⁴⁰³

Furthermore, our estimate of the quantity of scrap required to make AZ91E and other products in 2022 and 2023 is based on Supplier A’s production of the [#] percent Mg alloy only in 2023, even though Supplier A may have also consumed scrap for production of the [#] percent Mg alloy or other alloys in 2022 and is therefore, a conservative estimate.⁴⁰⁴

This is also a conservative estimate because the quantity of scrap Supplier A needed to produce AZ91E is also based on Supplier A’s own reported consumption rate from its SRFI response, even though CBP was unable to verify this consumption rate.⁴⁰⁵ Notably, information on the record indicates that Supplier 1 had a higher scrap consumption rate [CALCULATION].⁴⁰⁶ It is thus, highly favorable to Supplier A that CBP used a consumption rate from Supplier A’s own RFI responses to calculate its scrap needs, even though Supplier A admitted at verification that it actually does not record scrap consumption and thus, would not know its consumption rate.⁴⁰⁷

CBP’s Calculation of the Quantity of Scrap Supplier A Purchased

Thompson also objected to CBP not including the quantity of [PRODUCT] Supplier A purchased in [#] invoices reviewed at verification and the quantity of scrap it reported buying from abroad in its RFI responses in the Verification Report’s calculation of the quantity of scrap Supplier A purchased. Thompson also claimed that Supplier A could have provided purchase invoices corresponding to the sales invoices that Supplier T was missing and that these would also have accounted for some of the missing scrap. Thompson further claimed that some of the missing scrap can be accounted for by including HP scrap.⁴⁰⁸

Trinity argued that Supplier A could not demonstrate that it purchased enough scrap in 2022 and 2023 and “there is simply no way to determine or trace which raw materials were purportedly used to produce the AZ91E alloy ingots imported by TAC {Thompson}.”⁴⁰⁹

⁴⁰¹ See Verification Report at 31.

⁴⁰² See Verification Report at Attachment I, pages 2-4.

⁴⁰³ See verification Report at 30-32.

⁴⁰⁴ See Verification Report at 23-24, Supplier A Exhibit 3, and Supplier A Exhibit 7.

⁴⁰⁵ See Verification Report at 8.

⁴⁰⁶ See Supplier 1 SRFI Response at 27.

⁴⁰⁷ See Verification Report at 8.

⁴⁰⁸ See Thompson Arguments at 19-20.

⁴⁰⁹ See Trinity Response Arguments at 2.

CBP's Position:

Although it is true that Supplier A reported buying scrap from foreign sources in its RFI responses,⁴¹⁰ Supplier A told CBP officials at verification that it did not buy scrap from any supplier other than Supplier T.⁴¹¹ The fact that Supplier A falsely claimed in its RFI responses to have scrap suppliers other than Supplier T (including foreign ones it did not identify by name) does not change the fact that Supplier A officials denied that they had any other scrap suppliers at verification.⁴¹² Therefore, if Supplier A purchased additional scrap from foreign sources, then Supplier A made a false statement at verification when it claimed to have only purchased scrap from Supplier T.⁴¹³

There is no reason why CBP should include purchases of [PRODUCT], which were clearly identified as such on invoices, in the total quantity of scrap that Supplier A purchased. [PRODUCT] and scrap are not the same.⁴¹⁴

There is no evidence on the record of this investigation that Supplier A could have provided the invoices Supplier T was missing. In fact, Supplier T's set of invoices were more complete than Supplier A's. Specifically, Supplier A lacked an invoice for its largest single purchase of scrap in 2022 and 2023, a purchase of [#] Kg of scrap.⁴¹⁵ Even though CBP could not verify this purchase from Supplier A's own records, CBP included this purchase in the total scrap purchase quantity because Supplier T had the corresponding sales invoice.⁴¹⁶ By doing so, CBP exercised discretion favorably to Supplier A, even though EAPA's regulations state that CBP may apply adverse inferences "without regard to whether another party involved in the same transaction or transactions under examination has provided the information sought by CBP."⁴¹⁷

Furthermore, Supplier A's and Supplier T's records do not provide evidence that all of the invoiced scrap sales actually occurred because Supplier A and Supplier T maintained a running balance.⁴¹⁸ Therefore, CBP noted that many of the invoices do not tie to corresponding bank transfers,⁴¹⁹ debits recorded in Supplier A's accounting system, or to credits recorded in Supplier T's accounting system.⁴²⁰ Furthermore, the invoiced costs for some of Supplier T's purchase of the scrap do not match the prices for scrap Supplier T agreed to in sales contracts.⁴²¹ Therefore,

⁴¹⁰ See Supplier A SFI1 Response at Attachment 22 and Supplier A SRFI2 Response at Attachment 12.

⁴¹¹ See Verification Report at 22.

⁴¹² See Supplier A SRFI1 Response at Attachment 22, compared with Verification Report at 22.

⁴¹³ *Id.* at 22.

⁴¹⁴ *Id.* at 17 (Table 2), 18 (Table 3), and Supplier T Exhibit 1B.

⁴¹⁵ *Id.* at 17 (Table 1), which compares the 2022 invoices Supplier T provided at verification with the 2022 scrap purchase invoices Supplier A provided at verification, and Supplier A's reported scrap purchases in its SRFI2 response. See also the original invoices from Supplier T in Supplier Exhibit 1B and Supplier A's scrap purchase invoices in Verification Report at Supplier A Exhibit 15.

⁴¹⁶ *Id.* at 16-17, Supplier T Exhibit 1B, and Supplier A Exhibit 15. See also Supplier A SRFI2 Response at Exhibit 12 for comparison.

⁴¹⁷ See 19 C.F.R. § 165.6(c).

⁴¹⁸ See Verification Report at 16.

⁴¹⁹ See Supplier A SRFI1 Response at Attachments 1-6.

⁴²⁰ See Verification Report at 16.

⁴²¹ See Supplier A SRFI1 Response at Attachments 1-6 and Verification Report at 16.

CBP gave Supplier A and Supplier T the benefit of the doubt when it calculated the total quantity of Supplier A's scrap purchases by assuming that every Kg of scrap listed on invoices Supplier T provided at verification actually occurred.

Although Supplier A reported having self-produced HP scrap at verification, it never reported using this scrap to produce Mg ingots in its RFI responses⁴²² and never included production, testing, or storage of HP scrap in its description of the production process.⁴²³ Therefore, including this scrap in the calculation would defeat the purpose of verification – to verify Supplier A's responses. Notably, CBP could not verify that Supplier A used three to five percent HP scrap to produce any of the ingots Thompson imported from Turkey either. CBP could not verify this because Supplier A did not label its bags of scrap and kept no records of the quantity or type of scrap it purportedly used to produce Mg alloys.⁴²⁴

Furthermore, Supplier A stated at verification that *only* three to five percent of the scrap it used to produce the ingots it shipped to Thompson was HP scrap.⁴²⁵ However, Supplier A's scrap shortage was greater than five percent [

CALCULATION] percent.

Additionally, Supplier A's SRFI3 response reported that Supplier A consumed [#] Kg of scrap in 2023,⁴²⁶ which is more than five percent greater than the total quantity Supplier A purchased in 2023 plus the quantity Supplier A reported having in its inventory at the start of 2023.⁴²⁷ Therefore, even if three to five percent of the scrap used were HP scrap, Supplier A would still not have had enough scrap to make all the ingots Tigemer sold Thompson and the [#] percent alloy, or enough scrap to consume [#] Kg of scrap in 2023.

Arguments About Evidence of Supplier A's Production

Thompson argued that Supplier A produced the ingots Tigemer sold Thompson because Supplier A had capacity to produce a sufficient quantity of ingots,⁴²⁸ and provided production records at verification that validate AZ91 production.⁴²⁹

Trinity argued that "Supplier A's alleged capacity and production data vary wildly and are inherently unreliable."⁴³⁰ Trinity pointed out that Supplier A provided three different 2023 annual production figures in its RFI responses and claimed that none of them match total production reported in the monthly production records CBP reviewed at verification. Trinity also pointed to CBP's inability to verify that Supplier A purchased enough scrap to produce the

⁴²² See Supplier A RFI Response at 68, Supplier A SRFI3 Response at 6, and Supplier A SRFI1 Response at Attachments 1-6.

⁴²³ See Supplier A RFI Response at 54-57, and 67.

⁴²⁴ See Verification Report at 8.

⁴²⁵ See Verification Report at 13.

⁴²⁶ See Supplier A SRFI3 Response at Exhibit 1.

⁴²⁷ See Verification Report at 31-32 and Supplier A Exhibit 15.

⁴²⁸ See Thompson Written Arguments at 14-16.

⁴²⁹ *Id.* at 17.

⁴³⁰ See Trinity Response Arguments at 12.

AZ91E ingots Thompson purchased along with other products made from scrap as evidence that the record does not support Supplier A's production.⁴³¹

CBP's Position:

Although CBP confirmed at verification that Supplier A has a hypothetical capacity to produce some AZ91 Mg,⁴³² CBP discovered that Supplier A did not purchase an adequate quantity of scrap to produce the quantity it shipped to Thompson along with the [#] percent Mg alloy it reported producing from scrap at verification.⁴³³ Therefore, if Supplier A produced the ingots it sold Thompson, it did not use only purchased scrap, as claimed in RFI responses, which means that it made false statements in its RFI responses.⁴³⁴ Furthermore, Supplier A could not provide any documents to validate the accuracy of its daily, *hand-written*, production records because it does not maintain records of raw material consumption,⁴³⁵ and its test certificates do not tie to specific production batches or record daily production quantities.⁴³⁶ It is therefore, possible that daily totals were incorrectly written down, or even made up.

Furthermore, Supplier A's statements about its production have been inconsistent and unreliable throughout the course of this investigation. In different RFI responses, Supplier A reported producing different quantities of AZ91E in 2023.⁴³⁷ At verification, Supplier A acknowledged that the production quantity it reported in its RFI response was based on an estimate and was not correct.⁴³⁸ Supplier A also stated in its RFI responses that it maintains raw material consumption records but acknowledged at verification that it does not maintain these records.⁴³⁹ Supplier A gave differing estimates of its scrap consumption rate in its SRFI1 response,⁴⁴⁰ while acknowledging at verification that it does not even measure how much scrap it adds to each production batch, much less record its scrap consumption.⁴⁴¹ Supplier A claimed that it only used purchased scrap in RFI responses, but claimed at verification that it uses both purchased and self-produced HP scrap to produce AZ91E.⁴⁴² Therefore, CBP was unable to rely on Supplier A's RFI responses or the production records Supplier A provided at verification to ascertain how much AZ91E it produced or what raw materials it used, if any.

(3) Arguments About the Relative Prices of Pure Mg and Scrap

⁴³¹ *Id.* at 13.

⁴³² See Verification Report at 8.

⁴³³ *Id.* at 32.

⁴³⁴ See Supplier A SRFI1 Response at 6 and Attachments 1-6.

⁴³⁵ *Id.* at 13.

⁴³⁶ See Supplier A SRFI3 Response at 10.

⁴³⁷ See Supplier A RFI Response at 9, compared with Supplier A SRFI3 response at Exhibit 1.

⁴³⁸ See Verification Report at 25.

⁴³⁹ See Verification Report at 8 and Supplier A SRFI1 Response at 68.

⁴⁴⁰ See Supplier A SRFI1 Response at 47 compared with Supplier A SRFI1 Response at 49.

⁴⁴¹ See Verification Report at 8.

⁴⁴² See Supplier A SRFI1 Response at 54-55, 67, and Exhibits 1-6 compared with Verification Report at 13.

Thompson argued that CBP “used VAT {value-added tax} inclusive prices” when calculating the price Supplier A paid for scrap “thereby inflating the scrap prices by [#]%”.⁴⁴³ The importer also argued that the prices CBP used to calculate the price of pure Mg were [DESCRIPTION] prices while the prices for scrap were [DESCRIPTION]. Thompson also objected to CBP’s comparison of 2022 scrap prices with 2023 pure Mg prices. Thompson argued that pure Mg prices were higher than scrap prices in 2023.⁴⁴⁴

CBP’s position:

Comparing the [DESCRIPTION] price Supplier T paid for the scrap from its suppliers, without VAT would not accurately reflect the price that Supplier A actually paid for the scrap because the prices Supplier T charged Supplier A included VAT and a markup for Supplier T’s profit post-importation.⁴⁴⁵ Supplier A purchased all its scrap from Supplier T, and Supplier A’s scrap purchases were therefore considered domestic purchases, while Supplier A bought pure Mg directly from its foreign suppliers.⁴⁴⁶ Because Supplier T had already imported the scrap into Turkey, the prices it charged Supplier A were post-importation prices, not [DESCRIPTION] prices.⁴⁴⁷ Because Supplier A purchased its scrap from Supplier T, who acted as a middle-man between Supplier A and the ultimate scrap suppliers (*i.e.*, [COMPANY NAME]), Supplier A had to pay VAT, when it bought scrap. The customs duties for these transactions were already paid by Supplier T.⁴⁴⁸ Because Supplier A purchased all its pure Mg directly from foreign suppliers, not from Supplier T, these purchases included customs duties, but not VAT or any profits for Supplier T.⁴⁴⁹ These different types of taxes (import duties for imported pure Mg and VAT for domestically sourced scrap) were included in the total costs Supplier A paid for these raw materials and hence, the relative prices of these raw materials for Supplier A. When calculating how much Supplier A paid for its scrap, there is no logical reason to exclude part of the cost or to use the [DESCRIPTION] prices that Supplier T paid for scrap rather than the actual prices Supplier A paid, which included VAT and profit for Supplier T.⁴⁵⁰

The fact that pure Mg prices were more expensive in 2022 than they were in 2023 does not detract from CBP’s analysis because the fact remains that Supplier A had access to pure Mg in 2023 that was cheaper than the price at which it sold ingots to Tigemer. CBP calculated unit prices of scrap and pure Mg to verify Supplier A’s claim that it was unprofitable to produce AZ91E from pure Mg. The record shows that this was a false statement because the price at which Supplier A sold AZ91E ingots to Tigemer was much higher than the price Supplier A paid for pure Mg.⁴⁵¹ It is also important to note that Supplier A reported producing most of the ingots

⁴⁴³ See Thompson Written argument at 22.

⁴⁴⁴ *Id.* at 22-23.

⁴⁴⁵ See Verification Report at Exhibit 15. See also Supplier A SRFI1 Response at Exhibits 1-6.

⁴⁴⁶ See Verification Report at Exhibit 15.

⁴⁴⁷ See Verification Report at Exhibit 15. See also Supplier A SRFI1 Response at Exhibits 1-6.

⁴⁴⁸ See Supplier A SRFI1 Response at Attachments 1-6.

⁴⁴⁹ See Verification Report at Supplier A Exhibit 15.

⁴⁵⁰ *Id.* at Supplier A Exhibit 15.

⁴⁵¹ *Id.* at 22-24, Supplier A Exhibits 3 and 7, and Supplier A SRFI Response at Exhibit 15, Annex 5. See also Supplier A SRFI Response at Attachments 1-6.

Thompson imported from Tigemer in 2023,⁴⁵² when the pure Mg price was low, so Supplier A had access to the cheap pure Mg when it produced most of the ingots for Thompson.⁴⁵³

(4) Arguments About Trinity's Interested Party Status

Thompson argued that Trinity made “misleading” statements in its VFI regarding its interested party status and that CBP did not adequately confirm Trinity’s status.⁴⁵⁴ Thompson claimed that specifically, CBP should have required Trinity to provide production records proving that the Mg it sold was U.S. origin. Thompson also argued that CBP did not require adequate proof that Trinity made a “[DESCRIPTION OF PROFIT]” from its domestic sales because in Commerce investigations, “after probing, Commerce fails to find that a *bona fide* sale was made by the new shipper.”⁴⁵⁵

Trinity argued that the standards of a Commerce review are not relevant to this investigation because “CBP is fully capable of interpreting and applying its statutory and regulatory mandates. It does not need to look at the practices of other agencies, whose mandates may differ.”⁴⁵⁶

CBP’s Position:

Trinity provided an affidavit in the Allegation Supplement stating that it buys “[

DESCRIPTION OF Mg PRODUCT, PROCESS, AND LOCATION WHERE PROCESS TAKES PLACE]”⁴⁵⁷ Trinity also submitted screenshots of its website showing that it sells “90/10” Mg ingots (ingots with a 90% Mg content, which would be covered by the scope of the *Order*) and “Pure 99.8%” Mg ingots in the Allegation Supplement.⁴⁵⁸ In its RI submission, Trinity also provided a marketing presentation that describes the Allegor as a “Midwest regional non-ferrous recycler and *wholesaler* {emphasis added}.”⁴⁵⁹

There is no requirement in the EAPA statute or regulations requiring wholesalers to make a reasonable profit on their sales to qualify as an interested party.⁴⁶⁰ This investigation is an EAPA investigation governed by the EAPA statute and regulations, not the regulations of Commerce investigations.⁴⁶¹ Also, the EAPA regulations only require interested parties filing EAPA allegations to provide evidence that is “reasonably available” to them.⁴⁶² Therefore, it is not required for an wholesaler filing an allegation to provide production documents from its domestic supplier because such production documents would belong to the supplier, not the wholesaler, and would not be reasonably available to a wholesaler filing an EAPA allegation.

⁴⁵² See Supplier A SRFI3 Response at Exhibit 1.

⁴⁵³ See Verification Report at Supplier A Exhibit 15.

⁴⁵⁴ See Thompson Written Argument at 40-41.

⁴⁵⁵ *Id.* at 41.

⁴⁵⁶ See Trinity Response Arguments at 23.

⁴⁵⁷ See Allegation Supplement at Confidential Exhibit C, page 1.

⁴⁵⁸ *Id.* at Attachment A

⁴⁵⁹ See Trinity RI at Exhibit 15.

⁴⁶⁰ See 19 U.S.C. § 1517(a)(6) and 19 C.F.R. § 165.11.

⁴⁶¹ See *generally* 19 U.S.C. § 1517 and 19 C.F.R. § 165.

⁴⁶² See 19 C.F.R. §165.11(b)(6)

(5) Other Procedural Arguments

CBP's Rejection of Thompson's Untimely VFI

Thompson claimed that CBP's rejection of its untimely February 27, 2025 submission of VFI was "improper".⁴⁶³ Citing, *Tokyo Precision Kikai Seisakusho, Ltd. v. United States*, Thompson asserted that CBP has an "inherent authority" to accept new information if the information indicates that "the proceedings may have been tainted by some form of impropriety."⁴⁶⁴

Trinity argued that "CBP acted in accordance with law" when it rejected Thompson's "woefully late submission of new information."⁴⁶⁵ The Alleger pointed out that the Importer filed the VFI two and a half months after the established deadline for VFI submission. Trinity also pointed out that EAPA's regulations provide CBP with the authority to reject untimely submissions to ensure that investigations are completed within statutory deadlines. Trinity also pointed out that Thompson's assertion that the investigation is somehow tainted is not based on record evidence.⁴⁶⁶

CBP's Position:

Thompson's claim that CBP has the authority to accept untimely VFI is contrary to the EAPA statute and regulations, which establish a clear timeline for EAPA investigations.⁴⁶⁷ Notably, *Tokyo Precision Kikai Seisakusho, Ltd. v. United States*, the ruling Thompson cited, applied to a Department of Commerce administrative review, not to CBP EAPA investigations,⁴⁶⁸ and this ruling was made before passage of the EAPA statute.⁴⁶⁹ The EAPA statute and regulations require CBP to complete EAPA investigations within 300 calendar days after initiation, or 360 days when an investigation is extraordinarily complicated.⁴⁷⁰ Therefore, CBP cannot accept late VFI. CBP afforded parties to this investigation ample opportunity to submit VFI, with an extended deadline of December 4, 2024.⁴⁷¹ Therefore, CBP correctly applied the regulations and statute when it rejected Thompson's February 27, 2025 submission as untimely.⁴⁷²

Comments About BC Treatment in Trinity's Submissions and Thompson's Due Process

Thompson also argued that Trinity has requested BC treatment for non-confidential information and that Trinity did not fully follow CBP's instructions when resubmitting its VFI. Thompson

⁴⁶³ See Thompson Written Arguments at 42.

⁴⁶⁴ *Id.* at 42.

⁴⁶⁵ See Trinity Response Arguments at 23.

⁴⁶⁶ *Id.* at 23-24 See also 19 C.F.R. § 165.5(c)(2).

⁴⁶⁷ See 19 U.S.C § 1617 and 19 C.F.R. § 165.23(c).

⁴⁶⁸ See *Tokyo Precision Kikai Seisakusho, Ltd. v. United States*, 529 F.3d 1352, 1361-62 (Fed. Cir. 2008).

⁴⁶⁹ *Id.* See also 19 U.S.C § 1517 and 19 C.F.R. § 165.23(c).

⁴⁷⁰ See 19 C.F.R. § 165.22(a) and 19 C.F.R. § 165.22(c). See also 19 U.S.C. § 1517.

⁴⁷¹ See CBP Memorandum, "EAPA Case No. 7969 – Extension of Time for Voluntary Submission of Factual Information," dated December 2, 2024.

⁴⁷² See CBP's Email, "EAPA 7969 - Rejection of February 27, 2025 Submissions," dated February 27, 2025.

further argued that this has hindered its “ability to defend itself against the allegations leveled against it {and} CBP’s ability to evaluate the relevant arguments.”⁴⁷³

Trinity argued that its submissions were compliant with CBP regulations and that it followed CBP’s instructions when required to resubmit rejected submissions.⁴⁷⁴

CBP’s Position:

There is an administrative protective order (APO) in place for this investigation, which allows counsel for both the Importer and Allegor to view the other party’s BC information, and submit arguments based on that information, regardless of what each party declares as BC.⁴⁷⁵

Therefore, Trinity’s request for BC treatment had no bearing on the arguments Thompson was able to submit.⁴⁷⁶ With respect to the accusation that Trinity did not follow CBP instructions, CBP required Trinity to resubmit its VFI and CBP identified specific information that was not eligible for BC treatment.⁴⁷⁷ Trinity’s VFI resubmission removed the square brackets around the information identified by CBP and therefore, complied with CBP’s instructions.⁴⁷⁸

(6) Arguments About Tying Thompson’s Entries to China

Thompson claimed that CBP reviewed all the invoices and corresponding Turkish customs import declaration forms for Supplier A’s import of Mg and found no imports of AZ91E during the POI. According to Thompson, “{i}f there were no imports of AZ91E-much less China-origin AZ91E- there could be no transshipment of China-origin AZ91E as alleged by Trinity.”⁴⁷⁹

Trinity argued that CBP should determine that the ingots Thompson imported from Turkey were Chinese because (1) Supplier A has no raw material consumption records; (2) CBP learned at verification that Supplier A had a shortage of scrap,⁴⁸⁰ and (3) Turkish import data and Chinese export statistics Trinity provided in the Allegation show that Turkey received large quantities of Chinese Mg.⁴⁸¹

In its response to Thompson’s written arguments, Trinity also pointed out that many of the commercial invoices from Supplier A’s Chinese suppliers did not specify whether the import shipments contained [DESCRIPTIONS] Mg and only described the merchandise as “[DESCRIPTION]”. Trinity also emphasized that the shipping container CBP saw at verification contained both AZ91D and [DESCRIPTION] ingots, but the Turkish customs declaration form corresponding to this shipment [DESCRIPTION OF DECLARTION] ingots. According to Trinity, this indicates that supplier A’s other import shipments may also have contained both

⁴⁷³ See Thompson Written Arguments at 43.

⁴⁷⁴ See Trinity Response Arguments at 24-26.

⁴⁷⁵ See EAPA Case 7969 Administrative Protective Order.

⁴⁷⁶ See CBP’s Email, “Administrative Record Email,” dated August 23, 2024. See also Amended APO Authorized Recipient List.

⁴⁷⁷ See CBP’s Email, “Rejecting Trinity’s December 2 VFI Resubmission and Clarification of BC Treatment,” dated January 28, 2025.

⁴⁷⁸ See Trinity VFI.

⁴⁷⁹ See Thompson Written Arguments at 14.

⁴⁸⁰ *Id.* at 16-17.

⁴⁸¹ See Trinity Written Arguments at 5.

[DESCRIPTIONS] Mg ingots from China, including additional imports of AZ91D and/or AZ91E.⁴⁸²

CBP's Position:

Thompson's written argument completely mischaracterized the Verification Report, which stated that CBP did, in fact, find an invoice and Turkish Customs declaration form showing that Supplier A imported Chinese-origin AZ91D during the POI.⁴⁸³ Although this shipment was for AZ91D rather than AZ91E, Thompson has itself pointed out repeatedly on the record of this investigation that the content of Mg and all other elements in the AZ91E specification are ranges that overlap with the ranges in the AZ91D specifications.⁴⁸⁴ Furthermore, BOM's Thompson provided in its SRFI response showed that Thompson can use [DESCRIPTIONS OF POTENTIAL INPUTS] Mg to produce its products because the BOMs did not specify whether [TYPES OF Mg] is required.⁴⁸⁵

Supplier A's explanation for its purchase of this Chinese AZ91D - that it was for a new machine that would be used in a building still under construction one year later - is also not persuasive, and Supplier A could provide no supporting documentation.⁴⁸⁶ The very fact that Supplier A purchased a product it claims to produce itself from a competitor is indicative that Supplier A did not actually produce AZ91 ingots during the POI.⁴⁸⁷

Furthermore, Supplier T's invoices show that it sold at least [#] shipments of Mg [ingots] with a Mg content meeting the AZ91E specification to Supplier A,⁴⁸⁸ even though Supplier A reported these purchases in its RFI responses as scrap.⁴⁸⁹ CBP also discovered at verification that both Supplier T and Supplier A could not provide some of the invoices for their scrap transactions,⁴⁹⁰ which indicates that there are also likely missing invoices for additional purchases of ingots. These facts all indicate that Supplier A transshipped Chinese AZ91 ingots through Tigemer to Thompson. The fact that the invoice accompanying Supplier A's purchase of AZ91D and [PRODUCT] ingots in the shipping container listed both types of ingots, but the accompanying Turkish customs import document only declared the AZ91D⁴⁹¹ also indicates that Supplier A did not report all the products in each container on its Turkish customs import forms. This fact, combined with the very general descriptions of merchandise as "[PRODUCT]" on its invoices leads to the possibility that Supplier A imported additional shipments of Chinese AZ91D or AZ91E.⁴⁹²

⁴⁸² See Trinity Response Arguments at 10.

⁴⁸³ See Verification Report at Supplier A Exhibit 15.

⁴⁸⁴ See Thompson VFI at 14-16, Thompson RI at Exhibit 2, and Mg Alloy Memo.

⁴⁸⁵ See Thompson SRFI Response at Exhibit S-03.

⁴⁸⁶ See Verification Report at 29

⁴⁸⁷ See Verification Report at 7.

⁴⁸⁸ *Id.* at 17 (Table 2), 18 (Table 3), and Supplier T Exhibit 1B.

⁴⁸⁹ See Supplier A SRFI2 Response at Attachment 12 and Supplier A SRFI3 Response at Exhibit 2.

⁴⁹⁰ See Verification Report at 16-18.

⁴⁹¹ *Id.* at Supplier A Exhibit 8 and Exhibit 15, Annex 4.

⁴⁹² *Id.* at Supplier T Exhibit 1B.

Additionally, there is evidence that Thompson imported Chinese pure Mg from Tigemer and Supplier A. The [#] Kg of Chinese pure Mg Supplier A purchased in 2023⁴⁹³ was about [#] times greater than the [#] Kg of goods it reported making from pure Mg plus the [#] Kg total quantity of Chinese pure Mg it reported selling, combined.⁴⁹⁴ This indicates that Supplier A had a substantial quantity of pure Mg for which it had no use. Thompson also has a history of misclassifying [DESCRIPTION] as [PRODUCT].⁴⁹⁵ These facts, in combination with CBP's inability to verify that Supplier A made all the ingots Thompson imported from Tigemer constitute substantial evidence that Thompson imported Chinese pure Mg and/or Chinese AZ91 ingots from Tigemer. Trade statistics showing large quantities of Chinese Mg imported into Turkey also support this inference.⁴⁹⁶

X. Analysis as to Evasion

Under 19 U.S.C. § 1517(c)(1)(A), to reach a determination as to evasion in this case, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.”⁴⁹⁷ Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”⁴⁹⁸ As discussed below, substantial evidence on the record indicates that Thompson entered Chinese-origin Mg imported from Tigemer through evasion when upon entry, Thompson declared this Mg as Turkish-origin and not subject to the *Order*.

Supplier A acknowledged openly in its SRFI3 response that it purchased AZ91 Mg ingots from China during the POI⁴⁹⁹ and CBP observed Chinese-origin AZ91 ingots at Supplier A's [CITY] factory during verification. When asked during verification why it would purchase a product it produces itself from a foreign competitor, Supplier A company officials stated that they purchased this shipment of AZ91 for the initial production batch with a new machine per the warranty agreement with the equipment supplier.⁵⁰⁰ However, this explanation is not convincing because the timing of the AZ91D purchase (more than year before verification), Supplier A had not yet received this machine by the time of verification, and Supplier A claimed it would be used in a building still under construction one year later.⁵⁰¹ Furthermore, Supplier A provided

⁴⁹³ *Id.* at Supplier A Exhibit 15.

⁴⁹⁴ *See* Supplier A SRFI1 Response at Attachment 21.

⁴⁹⁵ *See* Thompson RFI Response at Exhibit 11.

⁴⁹⁶ *See* Allegation at Exhibit 9.

⁴⁹⁷ *See* 19 U.S.C. § 1517(c)(1)(A).

⁴⁹⁸ *See* 19 C.F.R. § 165.1; *see also* 19 U.S.C. § 1517(a)(5)(A). According to 19 U.S.C. § 1517(a)(3), “The term ‘covered merchandise’ means merchandise that is subject to— (A) an antidumping duty order issued under section 1673e of this title; or (B) a countervailing duty order issued under section 1671e of this title.”

⁴⁹⁹ *See* Supplier A SRFI2 Response at Attachment 14. *See also* Verification Report at 7 and Supplier A Exhibit 15.

⁵⁰⁰ *See* Verification Report at 29.

⁵⁰¹ *Id.* at 7.

no documentation that its equipment supplier required the use of this Chinese AZ91 in the warranty agreement.⁵⁰²

Adverse inferences

According to 19 C.F.R. § 165.6(a):

If the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion {...}⁵⁰³

Supplier A failed to cooperate and comply to the best of its ability with this investigation by making multiple false or misleading statements. These statements included:

- Supplier A claimed at verification that scrap was cheaper than pure Mg, when in fact, the reverse was true.⁵⁰⁴
- Supplier A reported monthly purchases of scrap in its RFI responses that have no corresponding invoices and likely did not occur.⁵⁰⁵
- In its RFI responses, Supplier A overstated the quantity of scrap it purchased by including purchased [PRODUCT] in its reported scrap purchase quantities,⁵⁰⁶ and reporting purchasing a greater quantity of scrap from Supplier T in 2022 and 2023 than the quantity of scrap Supplier T sold Supplier A.⁵⁰⁷
- Supplier A misleadingly associated each of the purchases of scrap from [COMPANY]⁵⁰⁸ to an individual entry, even though Supplier A does not track scrap to production batches and stores scrap in unlabeled bags at its factory.⁵⁰⁹
- Supplier A claimed in RFI responses to have purchased scrap from multiple suppliers⁵¹⁰ but at verification, claimed that it only purchased scrap from Supplier T.⁵¹¹
- Supplier A claimed that the AZ91D it purchased from China was for use in a [DESCRIPTION] machine. Although Supplier A company officials provided a verbal explanation that these ingots were purchased for use in a new machine, Supplier A

⁵⁰² *Id.* at 6.

⁵⁰³ *See* 19 C.F.R. § 165.6(a).

⁵⁰⁴ *See* Verification report at 23.

⁵⁰⁵ *Id.* at 17-18, compared with Supplier A SRFI3 Response at Exhibit 1.

⁵⁰⁶ *See* Verification Report at 17-18, Supplier A SRFI3 Response at Exhibit 1, and Supplier A SRFI2 Response at Attachment 12.

⁵⁰⁷ *See* Verification Report at 17-18, Supplier A SRFI2 Response at Attachment 12 and Supplier A SRFI3 Response at Exhibit 1.

⁵⁰⁸ *See* Supplier A SRFI1 Response at Attachments 1-6 and Verification Report at 8.

⁵⁰⁹ *See* Verification Report at 8.

⁵¹⁰ *See* Supplier A SRFI2 Response at Attachment 12.

⁵¹¹ *See* Verification Report at 22.

provided no documents to verify its purchase of this equipment and Supplier A's explanation is unconvincing, as explained above.⁵¹²

- Supplier A claimed in its SRFI1 response that it purchased some pure Mg from a [NATIONALITY] producer,⁵¹³ but instead, purchased all its pure Mg from China.⁵¹⁴
- Supplier A falsely claimed to track consumption of raw materials in its SRFI1 response.⁵¹⁵ In its SRFI3 response, Supplier A implied that it keeps an inventory of raw material movement when it stated “an inventory movement table is required from a statutory standpoint.”⁵¹⁶ Supplier A also provided Exhibit 1, a monthly inventory, including monthly raw material consumption, without telling CBP that this was based on an estimate of scrap consumption.⁵¹⁷ However, Supplier A admitted at verification that it does not maintain material consumption worksheets or any other documents to track inventory movement for inputs.⁵¹⁸
- In its SRFI1 response, Supplier A claimed that it does not maintain a stock of ingots in its inventory.⁵¹⁹ However, at verification, Supplier A claimed to have kept [#] Kg of Chinese AZ91 ingots at its factory for over a year.⁵²⁰
- In its SRFI1 response, Supplier A claimed that it generally completes production of an order for shipment “within hours”.⁵²¹ However, it took Supplier A more than [#] days to fill the orders for Thompson's ingots.⁵²²
- Supplier A claimed in its SRFI1 response that melting 100 Kg of scrap resulted in an average output of [#] Kg of AZ91,⁵²³ even though Supplier A does not actually know what quantity of ingots it can produce from 100 Kg of scrap because it does not record, or even measure the quantity of scrap it uses.⁵²⁴
- In different RFI responses, Supplier A reported producing different quantities of AZ91E.⁵²⁵ At verification, Supplier A acknowledged that the production quantity it reported in its RFI response was based on an estimate and was not correct.⁵²⁶
- Supplier A claimed that it only used purchased scrap in RFI responses, but claimed at verification that it uses both purchased and self-produced HP scrap to produce AZ91E.⁵²⁷

Based on the totality of these facts, Supplier A engaged in a pattern of misleading or false statements and did not cooperate to the best of its ability with this investigation. As a result of

⁵¹² *Id.* at 6-7.

⁵¹³ *See* Supplier A SRFI1 Response at 53.

⁵¹⁴ *See* Verification Report at Supplier A Exhibit 15.

⁵¹⁵ *See* Supplier A SRFI1 Response at 68.

⁵¹⁶ *See* Supplier A SRFI3 Response at 5-6.

⁵¹⁷ *Id.* at Exhibit 1.

⁵¹⁸ *See* Verification Report at 8.

⁵¹⁹ *See* Supplier A SRFI1 Response at 69.

⁵²⁰ *See* Verification Report at 6-7.

⁵²¹ *See* Supplier A SRFI1 Response at 69.

⁵²² *Id.* at Attachments 1-6.

⁵²³ *Id.* at 47.

⁵²⁴ *Id.* at 49.

⁵²⁵ *See* Supplier A RFI Response at 9, compared with Supplier A SRFI3 response at Exhibit 1.

⁵²⁶ *See* Verification Report at 25.

⁵²⁷ *See* Supplier A SRFI1 Response at 54-55, 67, and Exhibits 1-6 compared with Verification Report at 13.

Supplier A's non-cooperation, CBP was unable to rely on Supplier A's RFI responses or its records to confirm that Supplier A produced all the ingots Thompson imported from Tigemer.

Even if Supplier A produced some or all of these ingots, CBP is unable to determine from Supplier A's responses if these ingots would be Chinese origin because it is unclear what percentage of the inputs used in the production of these ingots was Chinese pure Mg, HP scrap, or scrap purchased from other sources.⁵²⁸ As a result, CBP is unable to make a covered merchandise referral to Commerce.

The Allegor has provided evidence that AZ91 Mg ingots produced in Turkey from pure Mg and/or HP scrap would still be Chinese origin.⁵²⁹ Because past commerce and customs rulings have determined that pure and alloy Mg are the same class or kind of merchandise and that melting Chinese pure Mg does not change the country of origin, it is unclear if the percentage of Chinese-origin inputs Supplier A used was substantially transformed.⁵³⁰

Adverse Facts Supporting an Affirmative Determination as to Evasion

Pursuant to 19 C.F.R. § 165.6(b), "An adverse inference used under paragraph (a) may include reliance on information derived from an allegation, a prior determination in another CBP investigation, proceeding, or action that involves evasion of AD/CVD orders, or *any other available information on the administrative record* {emphasis added}." Therefore, CBP is relying on the following facts on the administrative record, which suggest that at least some of the ingots Supplier A shipped to Thompson⁵³¹ were not produced by Supplier A at all, and were directly transshipped Chinese pure Mg and/or Chinese alloy ingots:

- CBP could not verify the quantity of scrap Supplier A purchased by tracing the flow of money from Supplier A to Supplier T for purchase of raw materials because these two companies maintain a running balance. Therefore, CBP could not verify Supplier A's purchase of raw materials.⁵³² This is further exacerbated by the fact that both Supplier A and Supplier T lacked invoices for some of Supplier A's purported scrap purchases.⁵³³
- CBP could not verify Supplier A's production by tracing production batches to COAs because Supplier A does not generate COAs that record the chemistry of a batch of ingots,⁵³⁴ even though it is standard industry practice to do so.⁵³⁵

⁵²⁸ See Verification Report at 8.

⁵²⁹ See Trinity RI at 3-5 and Exhibits 2, 3, and 6.

⁵³⁰ *Id.* at 3-5 and Exhibits 2, 3, and 6.

⁵³¹ The merchandise was shipped directly from Supplier A's facility to Thompson and Tigemer never took physical possession of the ingots, even though Supplier A sold the ingots to Tigemer, who resold them to Thompson. See Tigemer SRFI1 Response at 17.

⁵³² See Verification Report at 15 and Exhibit 12.

⁵³³ *Id.* at 17-18, Supplier T Exhibit 1B, and Supplier A Exhibit 15.

⁵³⁴ *Id.* at Exhibit 2. See also Supplier A SRFI2 Response at Attachment 11 and Thompson RI at Exhibit 1.

⁵³⁵ See Trinity VFI at Attachment 2.

- CBP could not verify Supplier A’s consumption of raw materials to produce the ingots Thompson purchased from Tigemer because Supplier A does not track raw material consumption.⁵³⁶
- Supplier A did not have enough scrap to produce all the AZ91E ingots Thompson purchased from Tigemer.⁵³⁷ However, Supplier A,⁵³⁸ Tigemer,⁵³⁹ and Thompson⁵⁴⁰ all agree that Supplier A supplied all these ingots to Tigemer, who resold them to Thompson.
- Supplier A received a shipment of AZ91 Mg ingots directly from China in [DATE].⁵⁴¹
- Supplier A purchased at least [#] Kg of ingots described on invoices as “[DESCRIPTION],”⁵⁴² which would be AZ91E if these ingots contained the correct percentages of other alloying elements.
- Thompson has a history of misclassifying [TYPES OF Mg] in its customs entries.⁵⁴³
- Supplier A purchased more than [NUMBER] times as much pure Mg⁵⁴⁴ as its combined pure Mg sales in 2023⁵⁴⁵ plus its total production of Mg alloys made from pure Mg.⁵⁴⁶
- Supplier A sells Chinese pure Mg.⁵⁴⁷

If not made in Turkey by Supplier A, the following facts constitute substantial evidence that the ingots Thompson bought from Tigemer were Chinese:

- All pure Mg Supplier A purchased was Chinese origin.⁵⁴⁸
- The AZ91 ingots Supplier A purchased were Chinese.⁵⁴⁹
- China accounts for 90 percent of global Mg production.⁵⁵⁰
- Trade data shows substantial Turkish imports of Chinese Mg in the months before Tigemer sold Mg to Thompson.⁵⁵¹

Even if some of the ingots shipped to Thompson from Supplier A were actually produced by Supplier A, it is likely that they were produced from Chinese pure Mg and/or HP scrap that is essentially Chinese origin based on the following facts:

⁵³⁶ See Verification Report at 8.

⁵³⁷ *Id.* at 32.

⁵³⁸ See Supplier A SRFI1 Response at 41, 43, and Attachments 1-6.

⁵³⁹ See Tigemer RFI Response at 3-4.

⁵⁴⁰ See Thompson RFI Response at Attachment 10.

⁵⁴¹ See Verification Report at Exhibit 8.

⁵⁴² *Id.* at Supplier T Exhibit 1B.

⁵⁴³ See Thompson RFI Response at Exhibit 11.

⁵⁴⁴ See Supplier A SRFI3 Response at Exhibit 2 and Verification Report at Supplier A Exhibit 15.

⁵⁴⁵ See Supplier A SRFI1 Response at Attachment 21.

⁵⁴⁶ See Verification Report at 32.

⁵⁴⁷ See Supplier A SRFI1 Response at Attachment 21.

⁵⁴⁸ See Verification Report at Supplier A Exhibit 15.

⁵⁴⁹ See Verification Report at Exhibit 8.

⁵⁵⁰ See Allegation Supplement at Attachment G.

⁵⁵¹ See Allegation at Exhibits 11 and 12.

- Supplier A acknowledged that it is possible to make AZ91E from either Mg scrap or from Chinese pure Mg.⁵⁵²
- Invoices provided at verification show that Supplier A purchased Chinese pure Mg at a lower price per Kg than the price it paid for scrap, which proves that it would have been more profitable for Supplier A to make AZ91E from pure Mg than from scrap.⁵⁵³
- Supplier A acknowledged in its SRFI1 response that pure Mg is an input it uses to produce AZ91 Mg ingots⁵⁵⁴ and all the pure Mg it buys is Chinese.⁵⁵⁵
- Supplier A acknowledged purchasing [#] Kg of pure Mg from China in 2023, the year it produced the AZ91E Mg ingots sold to Thompson,⁵⁵⁶ while only purchasing [#] Kg of Mg scrap in 2023.⁵⁵⁷ However, Supplier A only produced [#] Kg of the alloys it makes exclusively from pure Mg in 2023, compared with [#] Kg of AZ91 and [#] percent Mg made from scrap. Thus, Supplier A purchased almost 6 times more Chinese pure Mg than scrap, while producing twice as much of the scrap-based alloys than the pure Mg-based alloys.
- Supplier A stated at verification that it uses HP scrap to produce AZ91 Mg ingots.⁵⁵⁸ This scrap is essentially Chinese pure Mg with the Mg content diluted by only [#] percent.⁵⁵⁹
- Supplier A stores scrap in unlabeled bags, so it does not know what type of scrap (AZ91, HP, etc.) it is using.⁵⁶⁰

Other Facts Supporting an Affirmative Determination as to Evasion:

19 U.S.C. § 1484 requires importers of record to use “reasonable care” when making entry.⁵⁶¹ It is clear that Thompson did not use reasonable care when filing its entries because it misclassified two entries of [PRODUCT] as [PRODUCT] Mg and declared the wrong country of origin for another entry.⁵⁶² It also acknowledged that it has no written policies or procedures related to AD/CVD and did not visit Supplier A or Supplier 1 to confirm their production capacity before the first imports of Mg ingots from these suppliers.⁵⁶³

Analysis as to Evasion with Respect to Entries Thompson purchased from Supplier N

CBP determines that there is not substantial evidence that the entries of Mg ingots Thompson purchased from supplier N were Chinese origin. As explained above, Supplier N purchased the

⁵⁵² See Verification Report at 27.

⁵⁵³ *Id.* at pages 17-18 (Tables 2 and 3) and Supplier A Exhibit 15.

⁵⁵⁴ See Supplier A SRFI1 Response at 52-53 and 68.

⁵⁵⁵ See Verification Report at Exhibit 15.

⁵⁵⁶ See Supplier A SRFI2 Response at Attachment 13.

⁵⁵⁷ See Supplier A SRFI2 Response at Attachment 12.

⁵⁵⁸ See Verification Report at 13.

⁵⁵⁹ *Id.* at 13 and 22.

⁵⁶⁰ *Id.* at 8.

⁵⁶¹ See 19 U.S.C. § 1484.

⁵⁶² See Thompson RFI Response at Exhibit 11.

⁵⁶³ *Id.* at 30-31.

ingots it sold Thompson from two suppliers: Supplier 1 (2 entries) and supplier 2 (1 entry).⁵⁶⁴ According to Supplier 2, the ingots Supplier N purchased from Supplier 2 were produced by a [NATIONALITY] manufacturer⁵⁶⁵ who even the Alleger acknowledges has the capacity to produce AZ91E Mg alloys.⁵⁶⁶ Supplier 2 also furnished a COA verifying the production of these ingots by this manufacturer, as well as an invoice, PL, BOL,⁵⁶⁷ and a bank transfer slip proving that it sold this shipment to Supplier N.⁵⁶⁸

Supplier 1 provided “weighbridge slips” to record receipt of raw materials from its suppliers.⁵⁶⁹ Supplier 1 also provided records tracking consumption of raw materials and provided the pages from its production log corresponding to the shipments of Mg it sold to Supplier N (who resold it to Thompson). These records document when the batch of ingots was produced, the raw materials used, and the quantities produced in these batches.⁵⁷⁰ Supplier 1 also provided invoices for its purchase of the raw materials and sale of the finished ingots to Supplier N.⁵⁷¹ Although the Alleger contends that Supplier 1 used ingot stubs from Chinese pure Mg to produce the Mg Supplier 1 sold to Supplier N,⁵⁷² there is no evidence that Supplier 1 used ingot stubs in the documents provided in Supplier 1’s SRFI response and considerable evidence that Supplier 1 used scrap. Furthermore, even if Supplier 1 used ingot stubs as an input, the Alleger’s contention that the stubs were from ingots made in China is not supported by record evidence.⁵⁷³

Based on these facts, CBP determines that there is not substantial evidence that Thompson evaded the *Order* with its importation of the entries of Mg it bought from Supplier N.

XI. Actions Taken Pursuant to the Affirmative Determinations of Evasion

In light of CBP’s determinations that there is substantial evidence Thompson entered merchandise into the customs territory of the United States through evasion, CBP will take action, as applicable pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28. CBP will suspend or continue to suspend the liquidation for all entries imported by Thompson, that are subject to EAPA 7969 and continue suspension until instructed to liquidate these entries. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries.⁵⁷⁴

⁵⁶⁴ See Supplier N SRFI Response at 6. Thompson also identified Supplier 1 and Supplier 2 as the manufacturers of the entries it purchased from Supplier N, see Thompson RFI Response at Attachment 10.

⁵⁶⁵ See Supplier 2 RFI Response at Exhibit IV.5.

⁵⁶⁶ See Trinity Additional VFI at Exhibit 10

⁵⁶⁷ See Supplier 2 RFI Response at Exhibit IV.12.

⁵⁶⁸ *Id.* Exhibit IV.14.

⁵⁶⁹ See Supplier 1 SRFI Response at 26 and Exhibit V.14.

⁵⁷⁰ *Id.* at Exhibit IV.13.3.

⁵⁷¹ *Id.* at Exhibit IV.13.2.

⁵⁷² See Trinity RI at 3.

⁵⁷³ See Supplier 1 SRFI Response generally and especially Exhibits IV.13.2 and IV.13.3.

⁵⁷⁴ Entry type “03” is the code that CBP requires importers use to designate a consumption – Antidumping/ Countervailing Duty entry as subject to AD and/or CVD duties. The instructions for CBP Form 7501 (Entry Summary) state that code 03 shall be used for entries subject to AD/CVD duties. See <https://www.cbp.gov/trade/automated/ace-transaction-details>.

CBP will also evaluate the Importer's continuous bond in accordance with CBP's policies and may require single transaction bonds as appropriate. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.⁵⁷⁵

XII. Actions Taken Pursuant to the Negative Determination as to Evasion with Respect to Entries from Supplier N

Considering CBP's determination that there is not substantial evidence that the entries Thompson bought from Supplier N were covered merchandise entered into the customs territory of the United States through evasion, CBP will reverse any actions taken with respect to those entries.

Sincerely,



Victoria Cho
Director
Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade

⁵⁷⁵ See 19 U.S.C. § 1517(h).